

ธนาคารแห่งประเทศไทย
BANK OF THAILAND

Monetary Policy Report
Q3/2025

Monetary Policy Report

The Monetary Policy Report is prepared quarterly by staff of the Bank of Thailand with the approval of the Monetary Policy Committee (MPC). It serves two purposes: (1) to communicate to the public the MPC's consideration and rationales for the conduct of monetary policy, and (2) to present the latest set of economic and inflation forecasts, based on which the monetary policy decisions were made.

The Monetary Policy Committee

Mr. Vitai Ratanakorn	Chairman
Mr. Piti Disyatat	Vice Chairman
Ms. Suwannee Jatsadasak	Member
Mr. Paiboon Kittisrikangwan	Member
Mr. Rapee Sucharitakul	Member
Mr. Santitarn Sathirathai	Member
Mr. Charl Kengchon	Member

Monetary Policy in Thailand

Monetary Policy Committee

Under the Bank of Thailand Act, the Monetary Policy Committee (MPC) comprises the governor and two deputy governors, as well as four distinguished external members representing various sectors of the economy, with the aim of ensuring that monetary policy decisions are effective and transparent.

Monetary Policy Objective

The MPC implements monetary policy under the flexible inflation targeting regime. While regarding medium-term price stability as its primary objective, the MPC also aims at supporting sustainable, full-potential economic growth and preserving financial stability, attributing to long-term price stability and economic sustainability.

Monetary Policy Target

On December 24, 2024, the Cabinet approved the monetary policy target for 2025, which was mutually agreed between the MPC and the Minister of Finance to set the headline inflation within the range of 1–3 percent as the target for the medium-term horizon and for 2025.

In the event that average headline inflation in the past 12 months or a forecast of average headline inflation over 12 months ahead breaches the target range, the MPC shall send an open letter to the Minister of Finance to explain reasons for the breach of the target range, together with measures taken and estimated time to bring inflation back to the target. Furthermore, the MPC will write an additional open letter to the Minister of Finance every six months if average headline inflation based on the above criteria remains outside the target range.

Monetary Policy Instrument

The MPC utilizes the 1-day bilateral repurchase transaction rate as the policy interest rate to signal the monetary policy stance.

The MPC has adopted the managed float exchange rate regime to stabilize and limit the volatilities in the exchange rate, as to let the baht reflect economic fundamentals

Evaluation of Economic Conditions and Forecasts

The Bank of Thailand takes into account information from all sources, the macroeconomic model, data from each economic sector, as well as surveys of large enterprises, together with small and medium-sized enterprises from all over the country, and various financial institutions to ensure that economic evaluations and forecasts are accurate and cover all aspects, both at the macro and micro levels.

Monetary Policy Communication

Recognizing the importance of monetary policy communication to the public, the MPC employs various channels of communication, both in Thai and English, such as (1) publishing a press statement at 14:00 and holding a press conference regarding the results of the meeting at 14:30 on the day of the Committee meeting, (2) publishing edited minutes of the MPC meeting two weeks after the meeting, and (3) publishing the Monetary Policy Report every quarter.

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Data in this report is as of 7 October 2025 (the day of the monetary policy decision) unless stated otherwise.

Executive Summary of Monetary Policy Report Q3/2025

Economic growth, inflation, and financial stability

The Thai economy is projected to grow 2.2% in 2025 and 1.6% in 2026, in line with the previous assessment. In the first half of 2025, the economy expanded at a satisfactory pace, driven by the front-loading of manufacturing production and exports to the US. Additionally, continued growth in electronics export, supported by the technology product cycle, had contributed positively to related manufacturing and services sectors.

However, economic growth is expected to moderate in the period ahead, partly due to temporary factors namely (1) temporary production halts to enhance production efficiency in certain industries such as in the petroleum and automotive sectors; (2) merchandise exports being affected by US tariffs, although electronics exports would continue to expand; (3) slow tourism recovery due to a decline in short-haul tourist arrivals, although a recovery is anticipated towards the end of the year. Meanwhile, long-haul tourist arrivals would continue to expand. Foreign tourist arrivals forecast is revised down to 33 million in 2025 and 35 million in 2026 (Box 1: Long-haul tourist – a potential target for Thai tourism); and (4) softening private consumption, especially consumption of non-essential goods. Meanwhile, government measures would provide partial support to purchasing power, but there remains the need to monitor the continuity in public expenditure.

Headline inflation is expected to remain subdued, primarily driven by supply side factors. Headline inflation is projected to be 0.0% in 2025 and 0.5% in 2026, before gradually returning to the target range by early 2027. Low inflation is attributable to declining global crude oil prices, domestic retail fuel price subsidies, and lower raw food prices amid increased supply. Nevertheless, deflation risks remain limited, as prices of most goods and services continue to rise or remain broadly stable. Core inflation is projected at 0.9% for both 2025 and 2026. Meanwhile, medium-term inflation expectations of the private sector remain well-anchored within the target range. The MPC will continue to monitor changes in prices of goods and services to evaluate deflation risks going forward (Box 2: Is Thailand's low inflation considered deflationary?).

Interest rates in the banking system and financial markets declined, in line with policy rate cuts. Credit growth remained negative due to weakened loan demand from large corporates amid heightened economic uncertainty, debt repayments, and banks' cautious lending to high-credit-risk borrowers, especially SMEs and low-income households. On exchange rates, the baht's appreciation against the US dollar during certain periods affected exporters, especially exporters of goods that have low profit margins and rely on raw materials from domestic markets. The MPC sees the need to monitor both credit growth and the exchange rate, given their potential impacts on economic activities, and supports the implementation of targeted financial measures to assist the vulnerable groups.

Monetary policy decision in the third quarter of 2025

The MPC views that monetary policy should remain accommodative to support the economic in the period ahead. At the meeting on 13 August 2025, the MPC viewed that the economic outlook was broadly in line with the previous assessment. However, US tariffs would exacerbate existing structural impediments and competitiveness problems, while vulnerabilities in certain sectors had increased, particularly among SMEs (Box 3: Business and financial conditions of SMEs). Headline inflation was projected to remain low due to supply-side factors. The MPC also viewed that monetary policy could be slightly more accommodative to make financial conditions more conducive to business adaption and to alleviate the burden faced by vulnerable groups. In this regard, the MPC voted unanimously to cut the policy rate by 25bps to 1.50%.

At the meeting on 8 October 2025, the MPC noted that transmission from recent policy rate cuts to the economy was still underway. Most members emphasized the importance of the timing and effectiveness of monetary policy, given the limited policy space, and stood ready to adjust the monetary policy stance in response to the evolving economic and inflation outlook going forward (outlook dependent). Incoming economic data in the latter half of 2025 would help provide a clearer assessment of economic momentum and monetary policy considerations. As such, the MPC voted 5 to 2 to maintain the policy rate at 1.50%. Two members viewed that monetary policy should be further eased to foster more accommodative financial conditions to support the economic recovery and partially alleviate liquidity constraints and debt burdens, especially for vulnerable SMEs and households.

Under the prevailing monetary policy framework aimed at maintaining price stability, supporting sustainable growth, and preserving financial stability, **the MPC views that monetary policy should remain accommodative to support the economy and will closely monitor macro-financial developments and risks. The MPC also stands ready to adjust the monetary policy stance in response to the evolving economic and inflation outlook.**

Global economic growth has been stronger than previously expected, but momentum is expected to slow down from the impact of US tariffs



Global economic growth in the first half of 2025 was stronger than expected but is expected to moderate due to a slowdown in manufacturing production and merchandise exports after a period of front-loading. Meanwhile, the services sector would remain the key driver of growth.



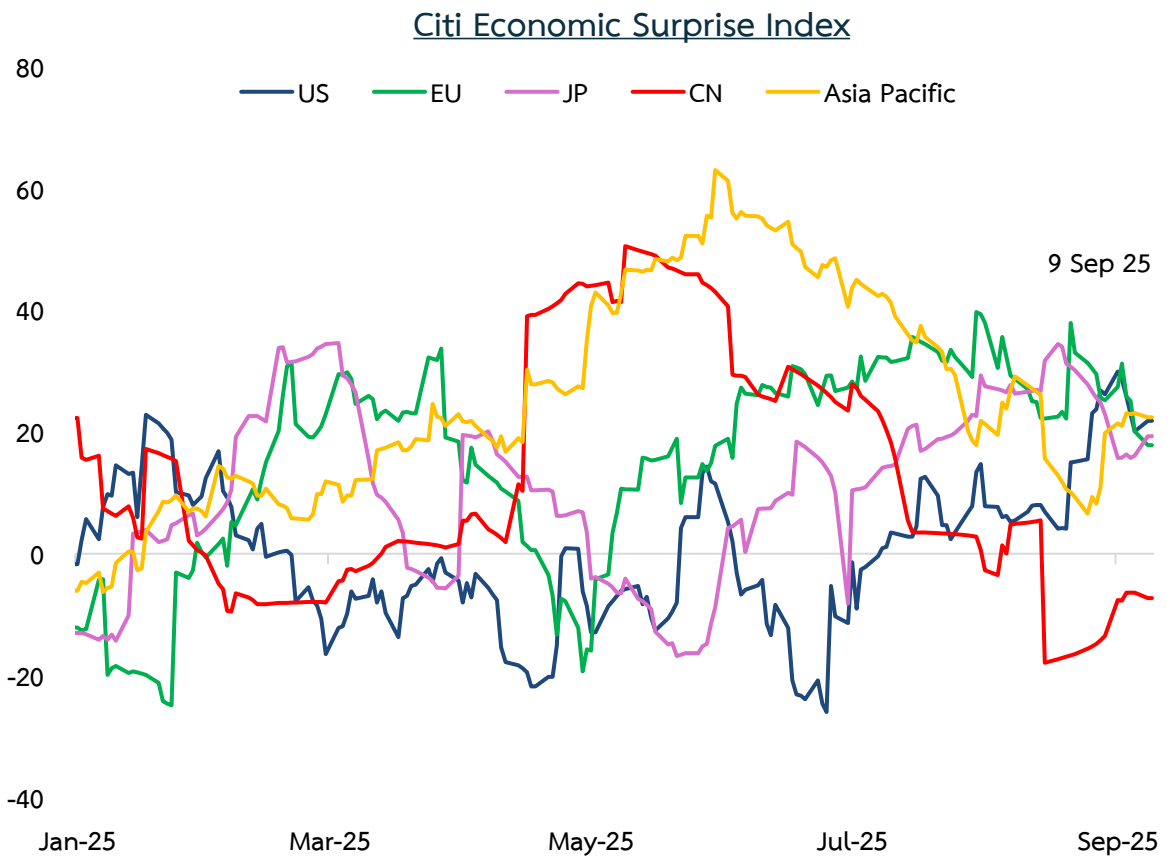
Headline inflation declined in many countries. Meanwhile, core inflation remained stable. Most central banks still maintained an accommodative monetary policy stance.



Risks stemming from the US-China trade war and trade uncertainties have declined after the reciprocal tariffs came into effect. There remains the need to monitor sectoral tariffs to be implemented by the US going forward.

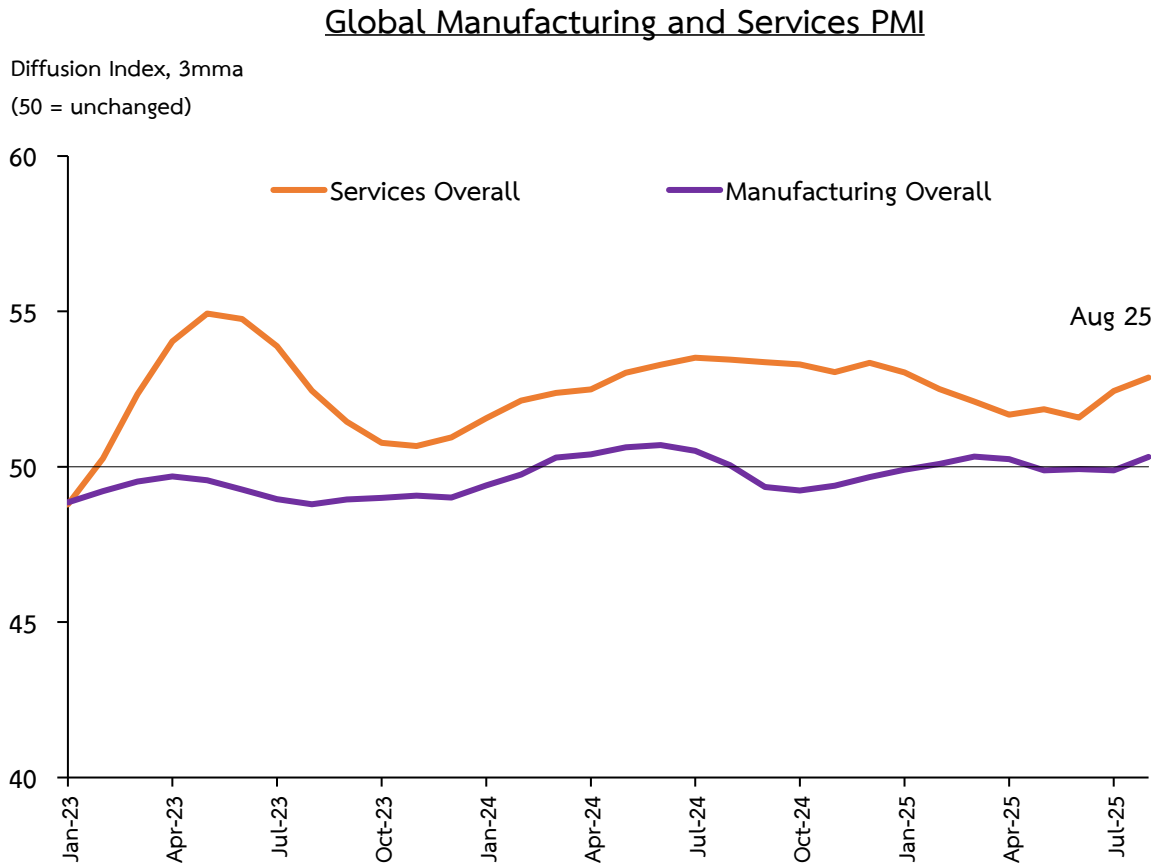
Global economic growth was stronger than expected in the first half of 2025 but is projected to slow down going forward, due to slowdown in manufacturing and merchandise exports which had previously accelerated. Meanwhile, the services sector would remain a key growth driver in the period ahead.

Growth outturns in the first half of 2025 were better than market expectations



Source: Bloomberg

Services sector in the global economy continues to expand, while the manufacturing sector remains broadly flat

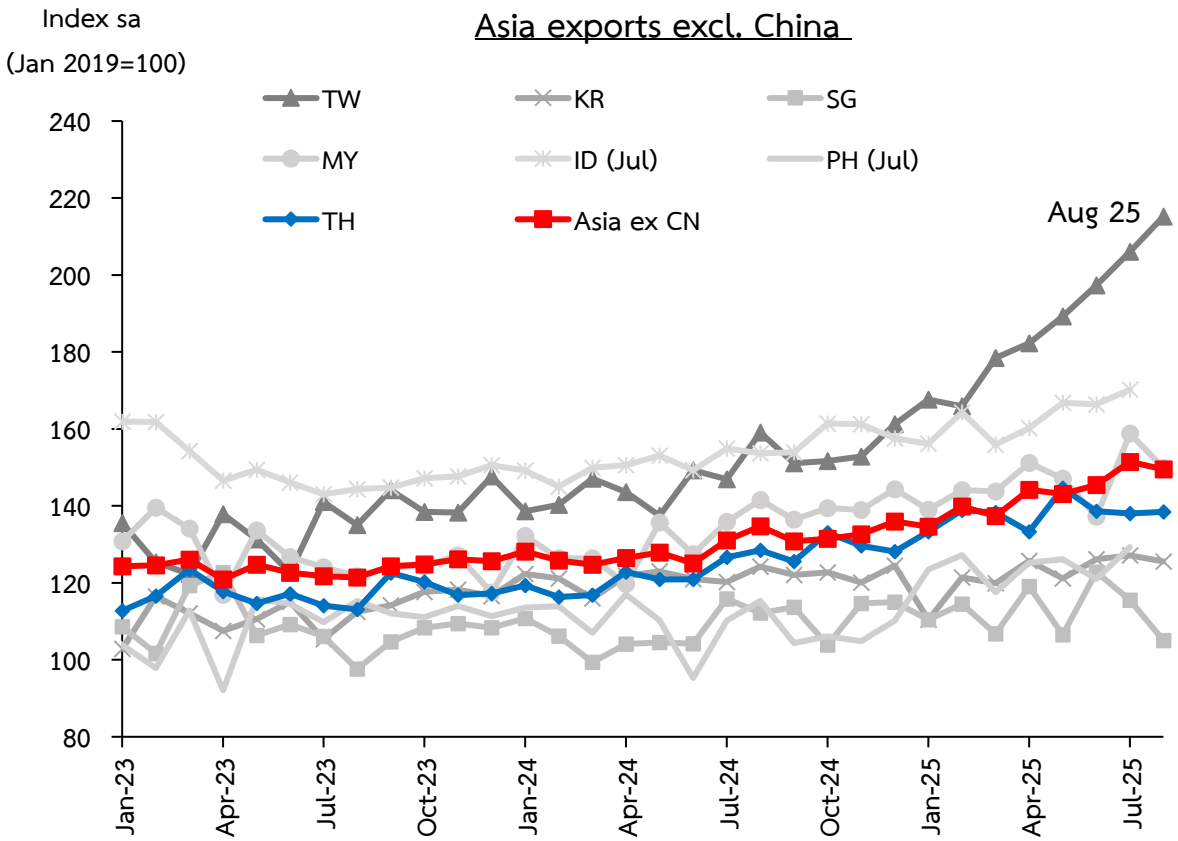


Source: S&P Global, BOT calculation

Merchandise exports in Asia slowed down slightly after having accelerated in the earlier period

Merchandise exports in Asia slowed down slightly, though they remain at a high level following a period of front-loaded shipment.

Hi-tech goods exports saw stronger growth than other export goods despite some slowdown, especially exports of goods related to AI and data centers



Note: Asian exports excluding China which cover exports from MY, SG, KR, TW, PH, and ID (the latest month's data for PH and ID are estimates)

Source: CEIC, BOT calculation



Note: Asia excl. China exports consist of MY, SG, JP, KR, TW, PH and ID (the latest month's data for PH and ID are estimates). Technology products include integrated circuits (IC) and semiconductors, computers, electrical products, and telecommunication equipment.

Source: CEIC, BOT calculation

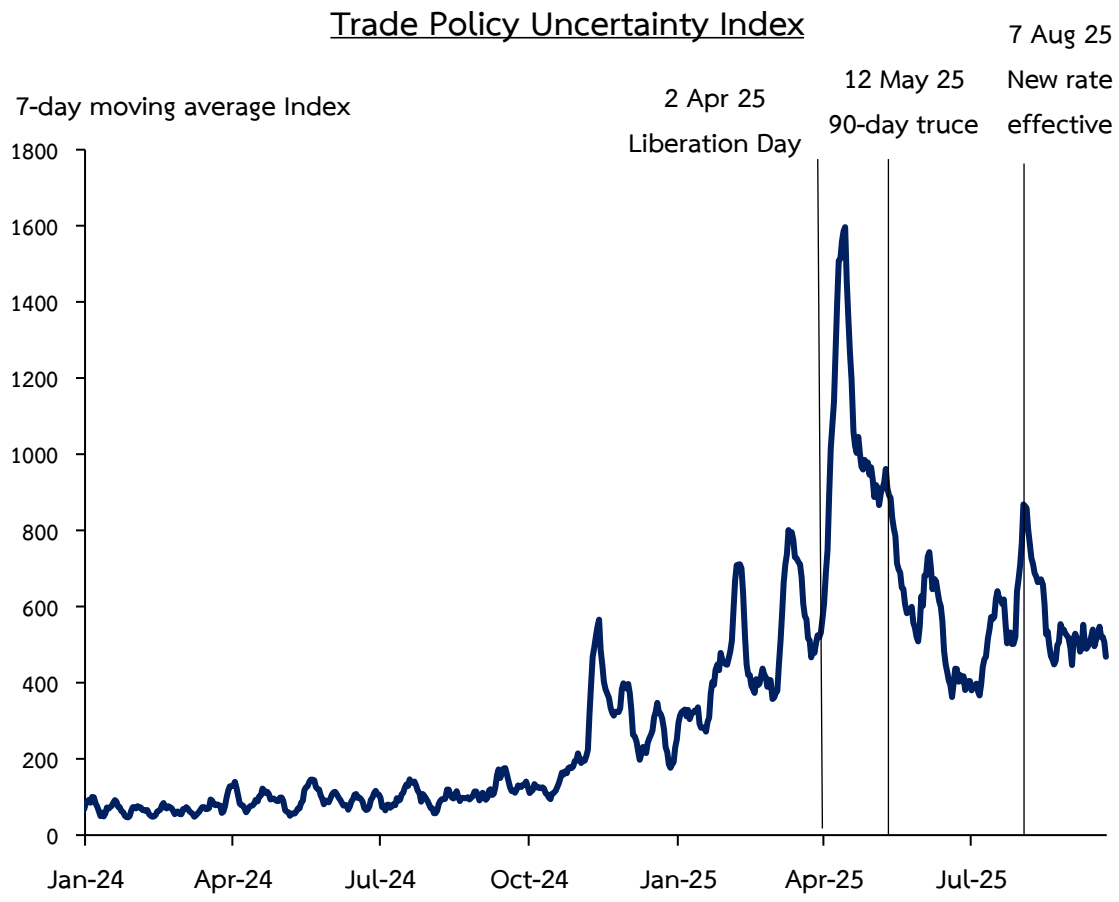
Global trade policies gained some clarity after the reciprocal tariffs were implemented but remain highly uncertain. There remains the need to monitor the US sectoral tariffs in the period ahead.

The international trade situation became clearer after the reciprocal tariffs were implemented and certain sectoral tariffs were announced

US Tariffs		Latest status
Country-specific tariffs	Canada and Mexico have not yet concluded trade agreement	Trade agreement not reached
	US and China reached an agreement leading to a reduction in reciprocal tariff to 10% for 90 days until 10 November 2025 (total applicable tariffs on China is 30%)	
	New reciprocal tariffs implemented for all countries on 7 Aug 2025	Trade agreement reached and already effective
Sectoral tariff	25% tariff on auto parts[1/] imports from all countries[2/]	Already effective
	50% tariff on steel and aluminum[1/] imports from all countries[2/]	
	Tariffs on some wood products, furniture, kitchen cabinets, and bathroom cabinets[1/2/]	
	Tariffs on original drugs and heavy trucks	Announced but not yet effective
	Additional sectoral tariffs may apply[1/] on semi-conductors and critical minerals	Not announced yet and highly uncertain

Note: [1/]Goods subject to increased tariff under Section 232 of the US Trade Expansion Act
[2/]Except UK, EU, and JP. For auto parts, wood products and furniture, UK is subject to 10% tariff, while EU and JP are subject to 15% tariff. For steel and aluminum, UK is subject to 25% tariff.
Source: Various sources aggregated by BOT

Trade uncertainties receded, as reflected in the trade policy uncertainty index



Source: Caldara, Iacoviello, Molligo, Prestipino, and Raffo (2020). "The Economic Effects of Trade Policy Uncertainty"

Trading partner economies are projected to grow at a slower pace compared to 2024 due to the impact of US trade policies on trade and the global economy

Assumption of trading partners' growth

%YoY	Share of exports in 2024[1/] (%)	2024[2/]	2025	2026
US	18.3	2.8	1.9	1.6
Euro area	6.9	0.8	1.2	1.1
Japan	7.7	0.2	1.1	0.7
China	11.7	5.0	4.7	4.2
Asia[3/]	20.5	4.3	3.7	3.3
Total[4/]	70.6	2.9	2.7	2.4

Note: These growth forecasts assume that the US import tariffs are collected at the rate announced on 2nd October 2025

1/ Share of total Thai exports value to Thailand's key trading partners in 2024

2/ Outturn

3/ Asia (excl, Japan and China) includes Singapore (3.4%), Hongkong (3.6%), Malaysia (4.1%), Taiwan (1.6%), Indonesia (3.2%), South Korea (2.0%), and Philippines (2.6%)

4/ Including the UK (1.4%) and Australia (4.1%)

Trading partner economies are projected to slow down in 2025 and 2026 due to the impact of US tariffs throughout both years. The US economy is expected to decelerate markedly from Q4-2025 onwards, as businesses gradually pass on higher costs from tariffs to consumers. Meanwhile, other countries are expected to gain short-term benefits from front-loaded exports in the first half of 2025 before slowing down in the latter half of 2025 and through to 2026.

Risks to trading partners' growth outlook is balanced

Downside risks:

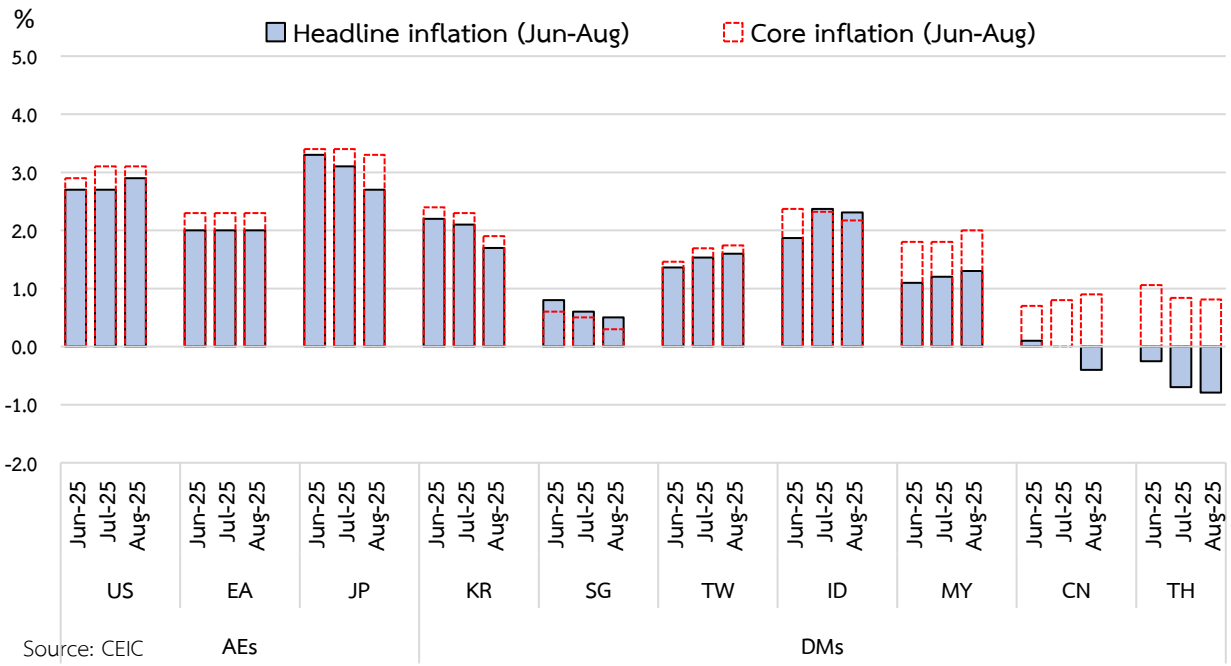
1) US tariffs and trade retaliations from trading partners intensify
2) Geopolitical tensions, especially in the Middle-East, escalate resulting in higher energy prices

Upside risks:

1) Trading partners' growth turns out stronger than expected with growth in the euro area supported by larger-than-expected government spending, and growth in China driven by the implementation of stimulus measures more than previously expected

Headline inflation in most countries declined, while core inflation remained stable in many countries. The Fed and Asian central banks are expected to cut policy rates to shore up economic growth.

Headline and core inflation



Source: CEIC

The Federal Reserve (Fed) cut its policy rate to 4.00 – 4.25% at the FOMC Meeting on 18 September 2025. The decision was underpinned by increased downside risks in the labor market, while inflation-related risks is largely unchanged from the previous assessment. It is expected that the Fed would cut its policy rate 2 more times in October and December 2025, and 1 more time in 2026.

The European Central Bank (ECB) maintained its policy rate at 2.00% at the Governing Council Meeting on 11 September 2025 as headline inflation slowed to a level close to the target. It is expected that the ECB would keep its policy rate on hold during the latter half of 2025 and would adopt a data-dependent approach to its monetary policy decisions.

Asian central banks are expected to cut their policy rates to support economic growth, while inflation remains within target. However, some central banks such as Bank Negara Malaysia are likely to maintain its policy rate given that economic growth remains strong.

Assumption of the Fed's monetary policy in 2025-2026

% at year end	2024*	2025	2026
Fed Funds Rate	4.25 – 4.50	3.50 – 3.75	3.25 – 3.50

Note: * Outturn

The Thai economy is projected to expand at a slower pace, amid increased risks from both domestic and external factors



Economic growth in the period ahead is projected to slow down due to the impact of US tariffs, slow income recovery, and temporary production halts to enhance production efficiency in certain sectors.



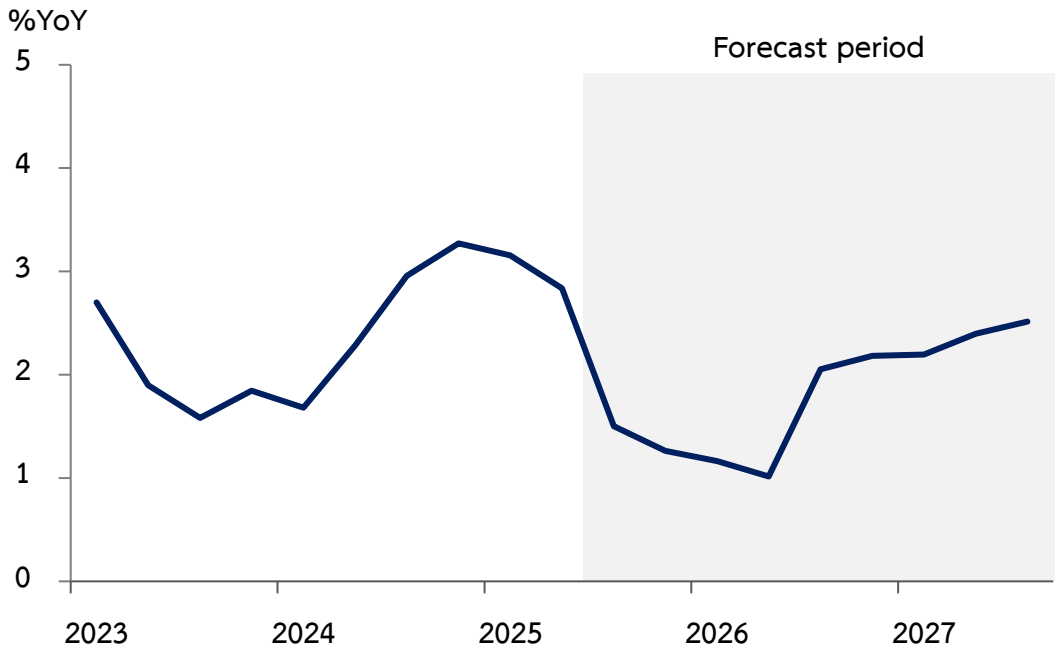
Looking ahead, the economic outlook is subject to heightened risks from both domestic and external factors, including the potential delay of the FY2027 budget, global trade policy uncertainties, and geopolitical tensions.



Headline inflation is projected to remain low mainly due to supply-side factors. Nonetheless, the current low inflation has not led to a broad-based decline in prices, and medium-term inflation expectations remain well-anchored within the target range.

Domestic demand softened along with the slow income recovery. The services sector moderated, following the decline in foreign tourist arrivals. Meanwhile, the manufacturing sector continued to face competitiveness challenges, despite the impact of US tariffs turning out to be less severe than previously assessed.

GDP growth projection



Source: Office of the National Economic and Social Development Council (NESDC) and projections by Bank of Thailand

Economic projection

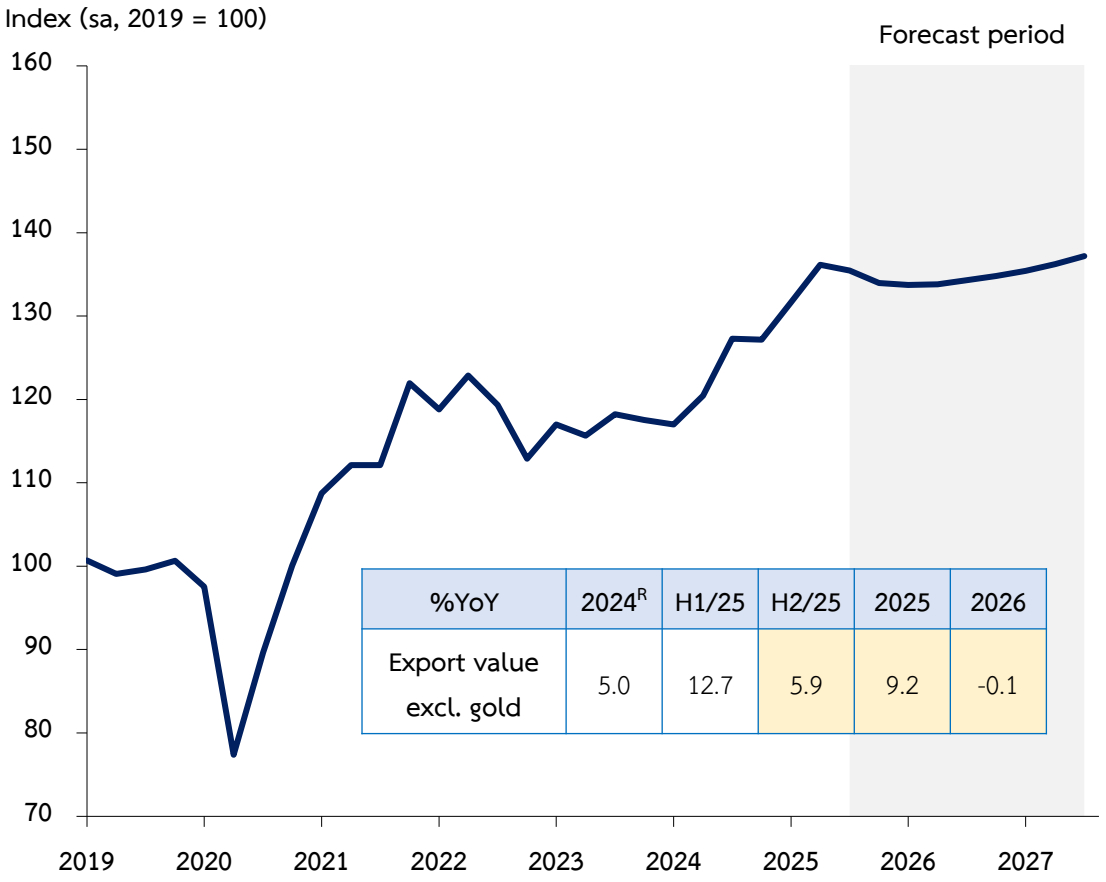
Growth (%YoY)	2024*	2025	2026
GDP growth	2.5	2.2 (2.3)	1.6 (1.7)
Domestic demand	3.0	1.7 (2.1)	1.8 (1.6)
Private consumption	4.4	2.1 (2.0)	1.8 (1.7)
Private investment	-1.6	0.3 (1.7)	1.4 (0.9)
Government consumption	2.5	0.8 (1.2)	0.6 (0.5)
Public investment	4.8	5.1 (6.0)	6.5 (6.1)
Export volume of goods and services	7.8	7.3 (4.2)	-0.3 (-0.5)
Import volume of goods and services	6.3	4.3 (2.5)	0.4 (-0.3)
Current account (billion US dollars)	11.6^{R}	16.0 (11.0)	13.0 (13.0)
Value of merchandise exports (%YoY)	5.9^{R}	10.0 (6.5)	-1.0 (-2.0)
Value of merchandise imports (%YoY)	5.5^{R}	10.2 (6.7)	0.0 (-1.3)
Foreign tourists (million persons)	35.5	33.0 (35.0)	35.0 (38.0)
Tourism receipt (trillion baht)	1.4	1.4 (1.5)	1.5 (1.7)

Note: * = Outturn
R = Revised data
( ) = Previous estimates in Q2-2025 monetary policy report

Source: Office of the National Economic and Social Development Council and projections by Bank of Thailand

Merchandise exports in the latter half of 2025 are projected to slow down due to the impact of US tariffs. However, electronics exports are projected to continue expanding.

Projection of merchandise exports (excl. gold)



%YoY	2024[R]	H1/25	H2/25	2025	2026
Export value excl. gold	5.0	12.7	5.9	9.2	-0.1

Note: [R] Outturn with revision

Source: Customs Department and Ministry of Commerce, BOT calculation

Outlook for merchandise exports

- **Export growth in H1/2025 remained positive** driven by front-loaded exports in anticipation of the US reciprocal tariffs coming into effect.
- **Export growth is projected to slow down in the period ahead** on account of slowing exports to the US especially exports of agricultural products, agro-manufactured products, and electrical appliances, which are affected by US tariffs. However, electronics exports are projected to continue expanding in line with growing demand for data center.
- There remains the need to monitor risks stemming from additional US trade policies, namely sectoral tariffs and transshipment tariffs, which would apply to goods at risk of third-party tariff circumvention, such as electrical appliances, machinery, and equipment.

Merchandise exports projection

%YoY	2024[R]	2025	2026
Export Value	5.9	10.0	-1.0
Export Volume	4.4	9.5	-1.1

Note: [R] Outturn with revision

Foreign tourist arrivals in 2025 are projected to be lower than in 2024 due to safety concerns, increased regional competition, and situation involving border-area conflicts

Projection of foreign tourist arrivals and tourism receipt

	2024[R]	2025	2026
Foreign tourists (million persons)	**35.5**	**33.0**	**35.0**
- Share of Chinese tourists	19%	13%	17%
- Share of long-haul tourists	30%	36%	35%
Tourist expenditure per trip (thousand baht)	**39.0[R]**	**42.5**	**43.8**
Tourism receipt (trillion baht)	**1.39[R]**	**1.40**	**1.53**

Note: [R] Outturn with revision

Tourism outlook

- **Foreign tourist arrivals forecast for 2025** has been revised down on account of decline in short-haul tourist arrivals, particularly from China, due to safety concerns. Foreign tourist arrivals would also be affected by increased tourism competition within the region, as well as ongoing tension in border area.
- **Foreign tourist arrivals in 2026 are projected to grow,** mainly owing to the gradual recovery in the number of Chinese tourists as safety concerns recede. Meanwhile, long-haul tourist arrivals are expected to increase moderately, partly reflecting higher global tourism demand.
- **Tourism receipt forecast is revised up slightly** on account of the increasing share of long-haul tourists (Box 1: Long-haul tourists – a potential target for Thai tourism), who tend to have higher per-trip spending than short-haul tourists.

Businesses' view about Thailand's tourism outlook

BUSINESS LIAISON PROGRAM

- **Businesses slightly revised down their forecast for foreign tourist arrivals in 2025.** This is due to the slower-than-expected recovery in foreign tourist arrivals during high season as reflected in the advanced booking numbers, which came in rather slow and were lower than expected. However, there are some positive signs in certain areas mainly due to increases in the number of long-haul tourists.
- **Looking ahead, businesses are concerned that the baht might continue to appreciate,** which would result in low tourism spending and weigh on businesses' competitiveness and operations.

Note: Data from interviews with businesses during Q3-2025

Box 1: Long-haul tourists – a potential target for Thai tourism

Currently, long-haul tourist arrivals visiting Thailand have been growing rapidly. Over the first 9 months of 2025, long-haul tourist arrivals grew as high as 12%, which is higher compared to the pre-COVID average of 2% per year (2015-2019)[1/]. This resulted in the share of long-haul tourists rising from 25% in 2019 to 34% in the current period. Meanwhile, the share of tourism receipt from this group also increased from 36% to 50%. Comparing across nationality groups, tourist arrivals from most long-haul markets have recovered and surpassed pre-COVID levels since 2024 and are growing in a broad-based manner. Over the first 9 months of 2025, the number of tourists from France, the UK, Germany, Russia, Australia, and US grew by 16.3%, 13.7%, 11.7%, 9.7%, 7.5%, and 5.6%, respectively (Chart 1).

An assessment of factors affecting foreign tourist arrivals, using a gravity model applied to data from 112 countries for tourists traveling to 11 key destinations within the Asia-Pacific region, including Thailand, since 2017, identifies 2 major factor groups: (1) external factors that the country can neither control nor improve; and (2) domestic factors reflecting the competitiveness of the destination country. This is expressed by the formula:

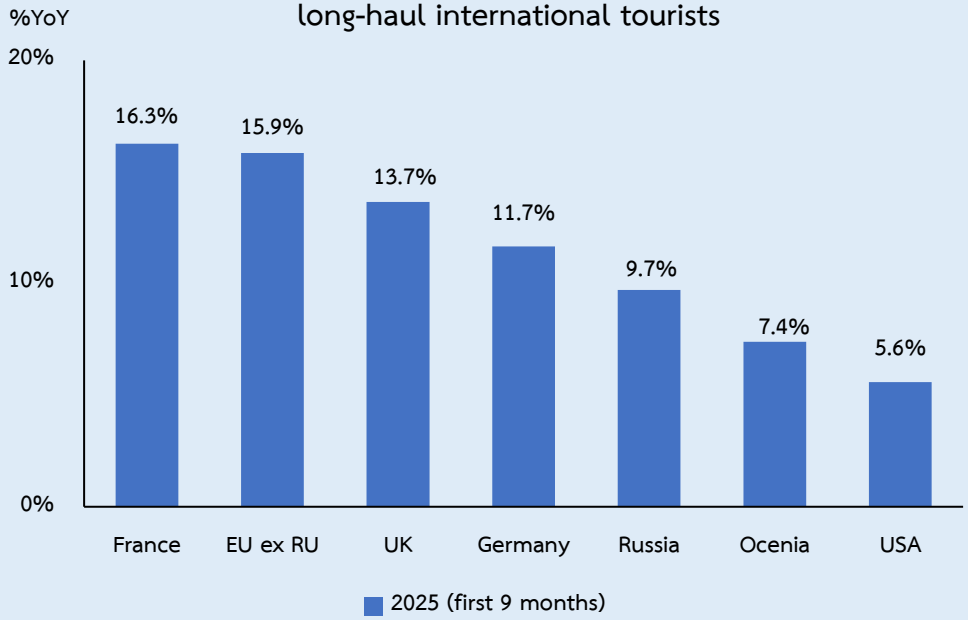
$$T_{ijt} = f(x_{ijt}, y_{jt})$$

wherein tourism demand as reflected by the number of tourists (T) traveling from the origin country (i) to the destination country (j) during each period (t), which is affected by (1) the control factors of the model (x_{ijt}) namely the distant between origin and destination, the income levels of the origin and destination countries, and dummy variables such as shared languages, shared borders, and historical colonial ties, which are external factors that cannot be changed; and (2) the competitiveness of the destination country (y_{jt}) as reflected by data from the World Economic Forum's Travel & Tourism Development Index (TTDI), including tourism infrastructure, tourism promotion policies, environment conditions, sustainability, and natural resources, which are factors that the destination country can improve and further develop.

Note

[1/] Source: Ministry of Tourism and Sports

Chart 1: The growth in the number of long-haul international tourists



Note: The Oceania region consists of 14 countries, including Australia, New Zealand, and various island nations.

Source: Ministry of Tourism and Sports, BOT calculation

Box 1: Long-haul tourists – a potential target for Thai tourism

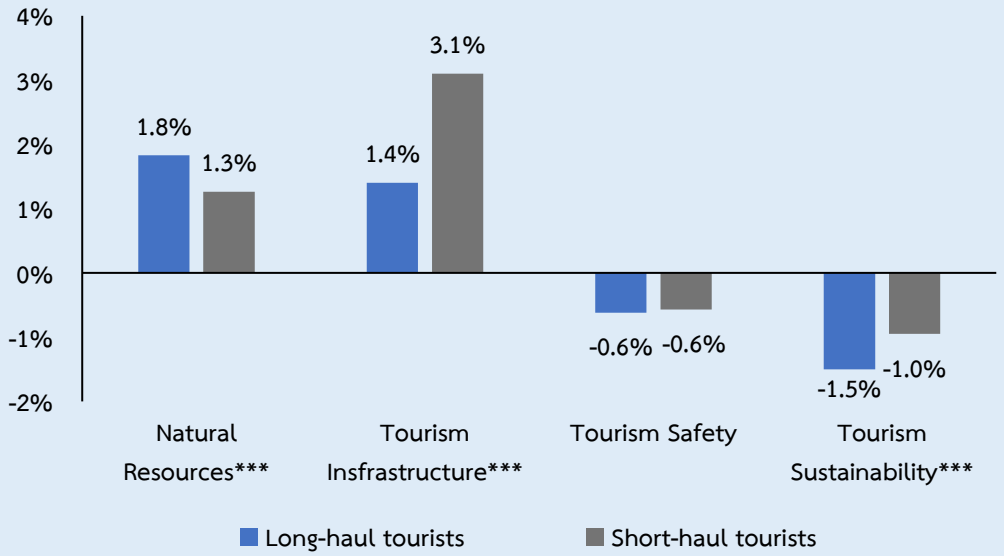
The study founds that, among external factors, tourism demand mainly depends on the income of the origin country and has an income elasticity of 1.4 (i.e. a 1% increase in the income of the origin country would result in a 1.4% increase in outbound tourists). Countries with shared borders or borders within proximity are likely to have higher bilateral tourism flows than countries that are further away from each other. This also applies to countries with other common factors such as language and culture, where the tourism between the origin and destination countries will be higher than countries without any common factors.

An assessment of factors affecting long-haul tourists shows that, while the distance from origin country presents an obstacle to traveling to Thailand, expanding transportation services could help overcome this limitation. In recent periods, air transportation infrastructure has played a part in reducing the obstacles for long-haul tourists, as reflected by **the number of seats on flights traveling between countries in the long-haul group and Thailand growing by around 10% from the pre-COVID period**[2/] and **Thailand's upgraded aviation safety standards** as recognized by the US Federal Aviation Administration (FAA) after a prior downgrade 10 years ago. The latter has enabled possibilities of opening direct flight routes between Thailand and the US, and increasing the number of flights from long-haul countries.

Regarding competitiveness, which is a factor within Thailand's control to improve, a key finding is that **long-haul tourists are relatively insensitive to weaknesses in the tourism sector** (Chart 2). Long-haul tourists place less importance to tourism infrastructure, such as transportation, compared with short-haul tourists partly because long-haul tourists tend to spend more time in their accommodation and do less traveling within the province of stay. Safety concerns, measured using sources such as the Global Terrorism Index, indicators of organized violence and fatalities, survey on confidence in nighttime travel and of local polices, have limited impact on travel decisions of long-haul tourists.

However, **long-haul tourists place high importance on natural attractions, which is Thailand's strength** with seas and beaches that rank among the world's top 10 destinations such as Koh Samui[3/] as well as the warm climate. While Thailand shares its equatorial location with countries such as Indonesia, Malaysia, and the Philippines, competition in this market segment is limited, allowing Thailand to compete effectively.

Chart 2: Impact on the number of international tourists when each dimension of the competitiveness score increases by 1%



Note: *** indicates factors that have a statistically significant impact on the number of tourists, namely natural resources and infrastructure that attract visitors. In contrast, tourism sustainability contributes to limiting the number of tourists at destinations. Meanwhile, safety factors do not significantly affect the number of long-haul tourists. TTDI data shows that some countries with low safety scores still have a high number of tourists.

Source: Travel and Tourism Development Index score (2017-2024) by World Economic Forum, BOT calculation

Note

[2/] Source: PATA (data as of Sep 2025)

[3/] Source: Survey by American Express in 2025

Box 1: Long-haul tourists – a potential target for Thai tourism

Sustainability, which relates to managing tourist density within an area to preserve the quality of attractions, is also an important factor. This includes measures to protect the attractions and reduce pollution, which might limit growth in tourist numbers. In this regard, **diversifying tourism from major-destination cities to secondary-destination cities will be key to balancing sustainability goals with economic benefits.** Not only would this prevent overcrowding that could reduce Thailand's attractiveness as a destination in the future, but it could also help distribute income to tourism businesses in the secondary cities. Currently, 90% of long-haul tourists are concentrated in only 6 key areas namely Bangkok, Phuket, Pattaya, Surat Thani, Chiang Mai, and Krabi.

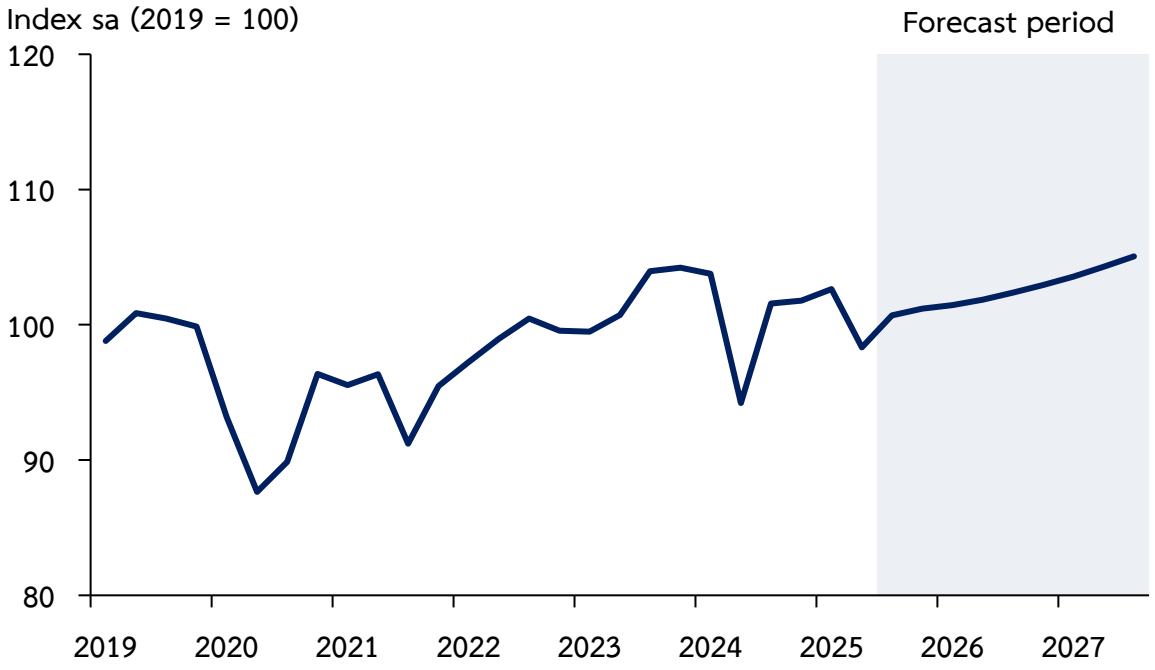
In summary, Thailand's tourism sector faces challenges from declining short-haul tourist arrivals but continues to see strong growth thanks to long-haul tourists, a potential target that warrants continued focus. This includes **upgrading the competitiveness of the tourism sector,** which is something that Thailand can develop further, and **expanding tourism businesses so that Thailand could capitalize on new tourism trends** such as preventive medical care and wellness tourism, which are already among Thailand's strengths. Thailand ranks third globally in this area according to Mastercard and has potential to become the region's medical hub[4/].

Note

[4/] Value of medical services Thailand provided to foreigners grew as much as 16% in the first 8 months of 2025

Private investment growth is expected to remain low in 2025, partly due to temporary pause in the second quarter amid uncertainties surrounding US tariffs. Nonetheless, investment growth is expected to improve and private investment is projected to record a positive growth in 2026, driven by investments in the electronics and digital related industries.

Projection of private investment



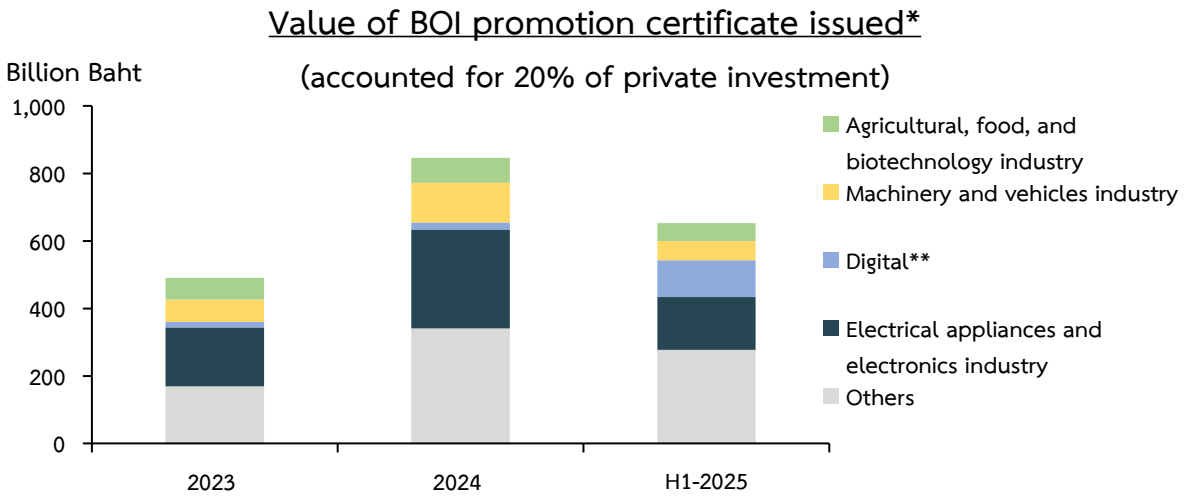
Source: BOT calculation and forecast

Private investment projection

%YoY	2024*	2025	2026
Private Investment	-1.6	0.3	1.4

Note: * Outturn

The value of BOI investment certificates continued to increase, particularly in the electronics and digital related industries, which is expected to translate into actual investment during the 2026-2027 period.



Note: * After the issuance of the investment promotion certificate, investment typically occurs at an average rate of 50% within the next 3–4 quarters and increases to 90% within 3 years.

** Most investments in the digital category are in data centers.

Source: Board of Investment (BOI)

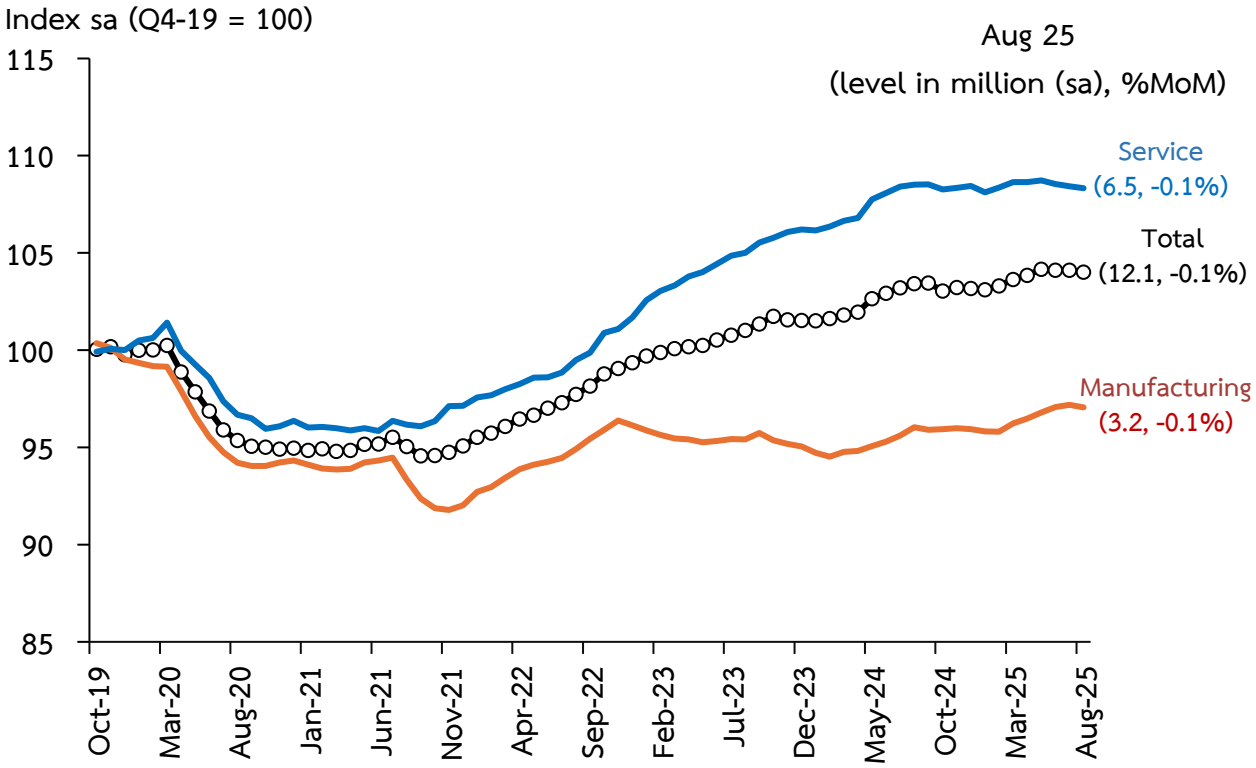
BLP BUSINESS LIAISON PROGRAM

Most businesses are still postponing large-scale investments in the second half of 2025, due to uncertainties surrounding the US tariffs and slowing domestic and external demand in certain sectors. Meanwhile, only the electronics and digital related industries continue to see investment outlays.

Note: Data from interviews with businesses in Q3-2025

Employment under the social security system is broadly stable. Meanwhile, labor income is slowing due to a contraction in farm income from lower agricultural prices, and employment in the manufacturing sector being affected by global trade policies and competitiveness problems.

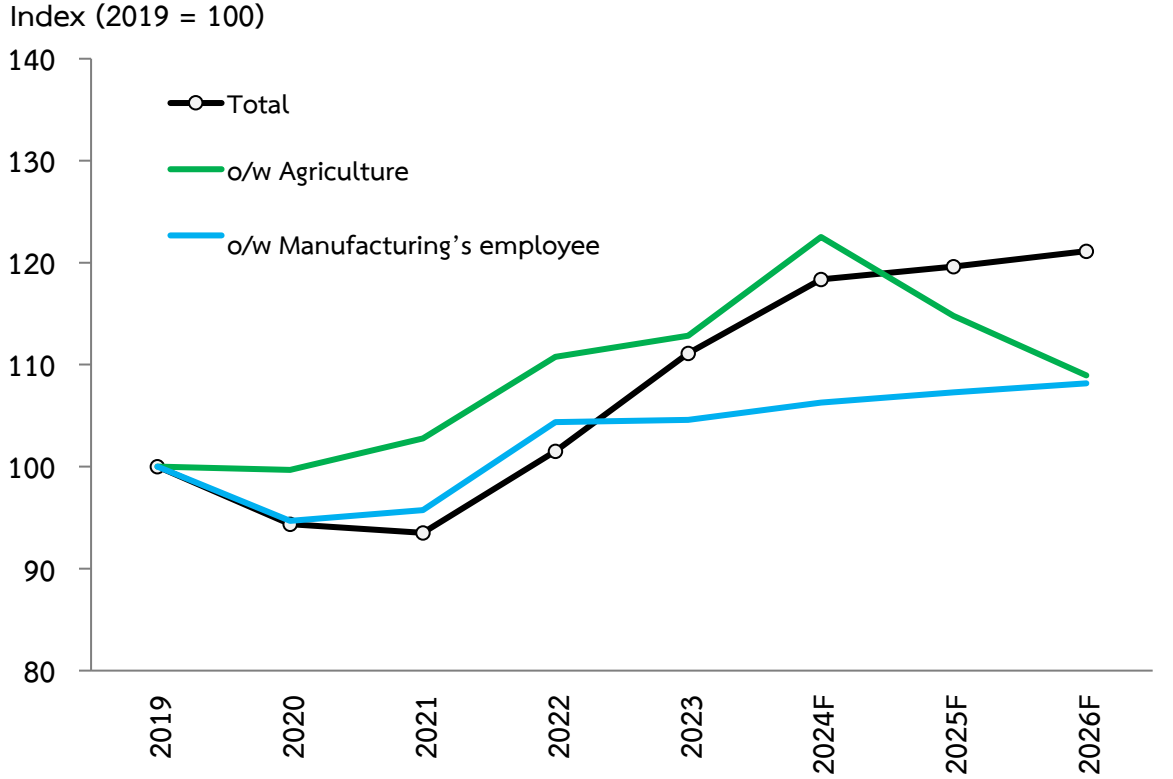
Number of workers in the Social Security Fund (section 33)



Note: Section 33 refers to employees who are not less than 15 years of age and not more than 60 years from the date the employee starts working for a company with one or more employees. Insured employees under Section 33 are classified into three main groups: manufacturing (27%), services (54%), and other sectors (19%)

Source: Social Security Office, BOT calculation

Projection of labor income

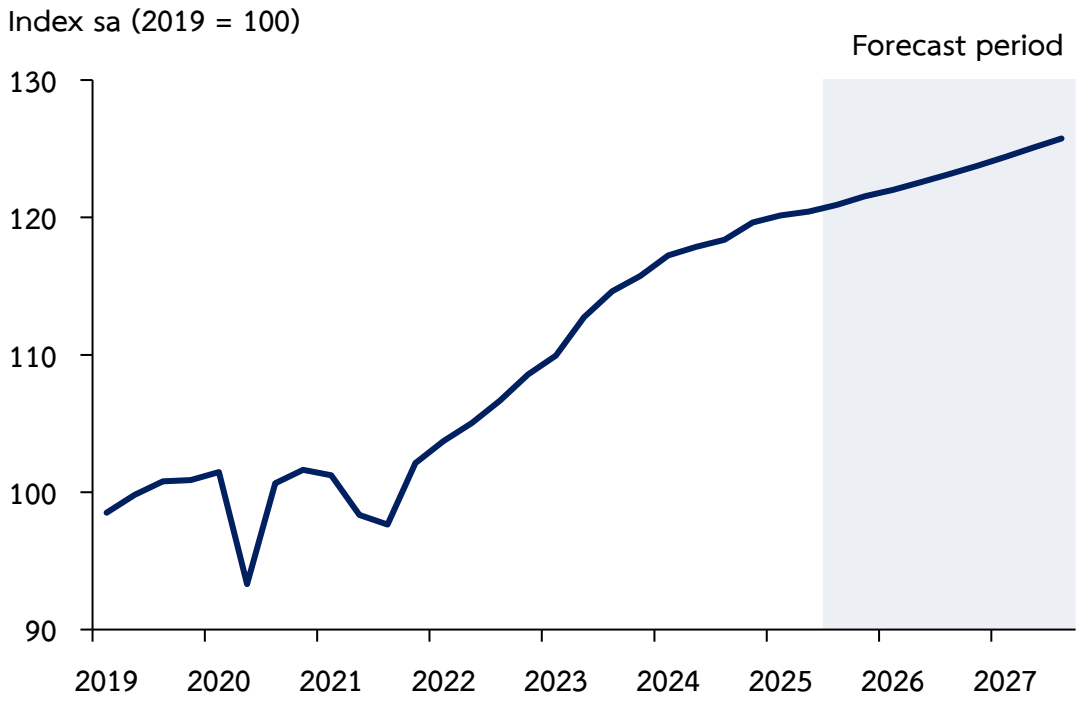


Note: Labor income data from the national income accounts, with the most recent data available up to 2023. F = Forecast

Source: NESDC, National Statistics Office, Office of Agricultural Economics, BOT calculation and forecast

Private consumption growth is projected to slow on account of lower spending on non-essential items. In the period ahead, the recovery is expected to be gradual, in line with the outlook for labor income.

Private consumption projection



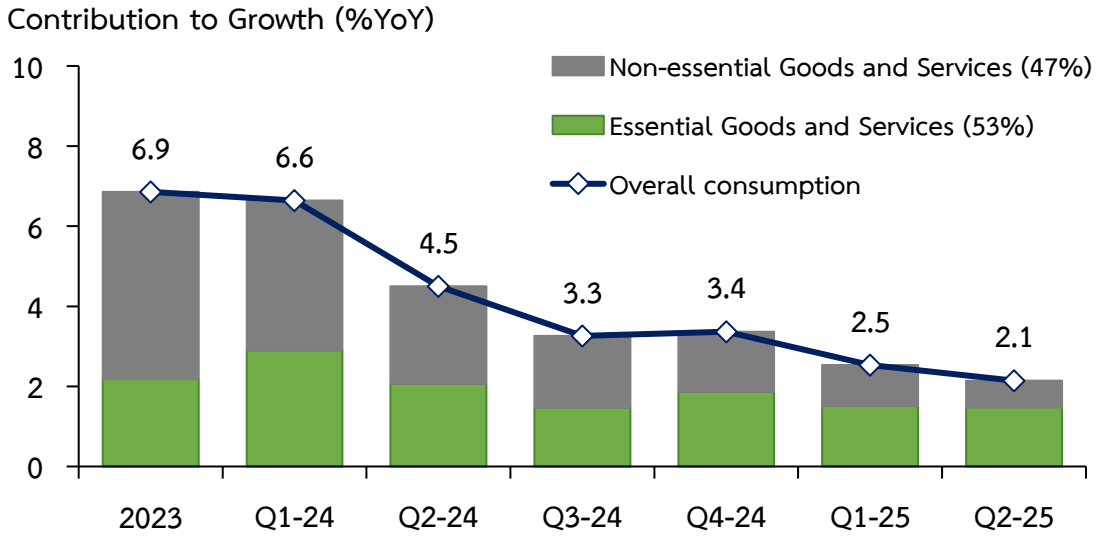
Source: BOT calculation and forecast

Private consumption projection

%YoY	2024*	2025	2026
Private Consumption	4.4	2.1	1.8

Note: * Outturn

Sources of consumption growth across product and service categories



Note: (1) Essential goods and services include consumer necessities, fuel and electricity, and transportation-related spending. (2) Non-essential goods and services include alcoholic beverages, automobiles, and spending on hotel and restaurant services. (3) ( ) indicates the share of each category in total consumption, on average 1994 to Q1 2025.

Source: NESDC; BOT calculation

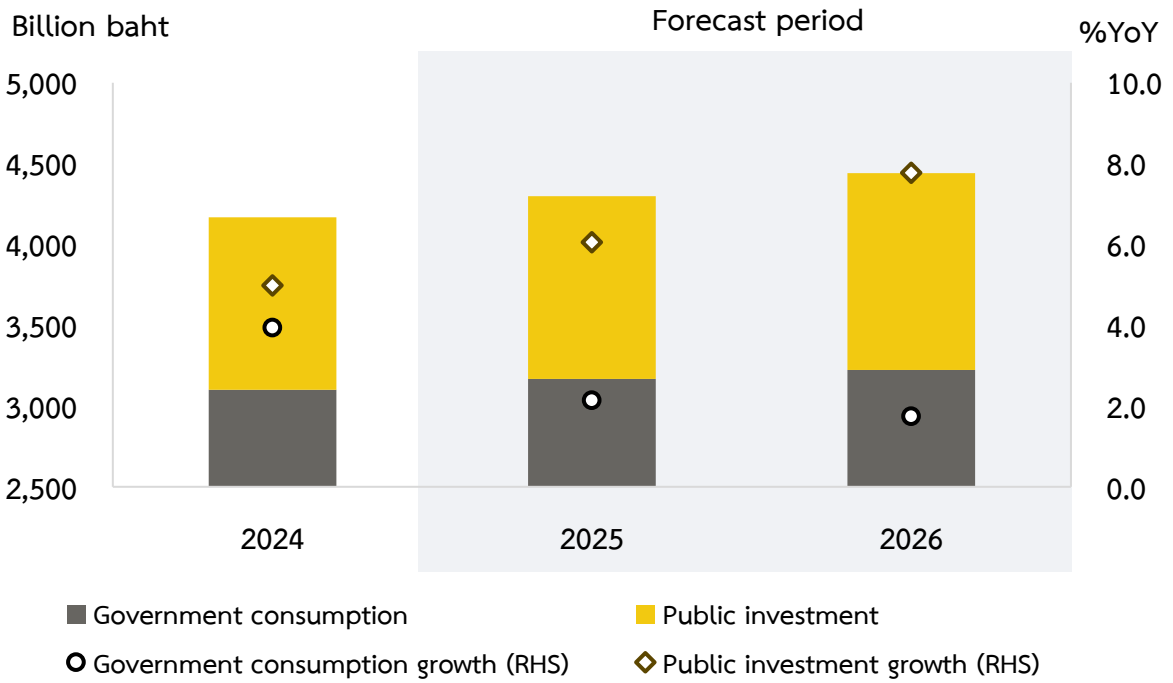
BLP BUSINESS LIAISON PROGRAM

Businesses view that consumers are still spending cautiously especially the middle- and high-income groups who are spending less on luxury goods, although government measures would help support purchasing power towards the end of 2025.

Note: Data from interviews with businesses in Q3-2025

Government spending would continue to provide growth momentum throughout 2025 and 2026. However, there is a risk that the FY2027 budget could be enacted later than planned if the Parliament dissolves in early 2026, which could impact government spending in the period ahead.

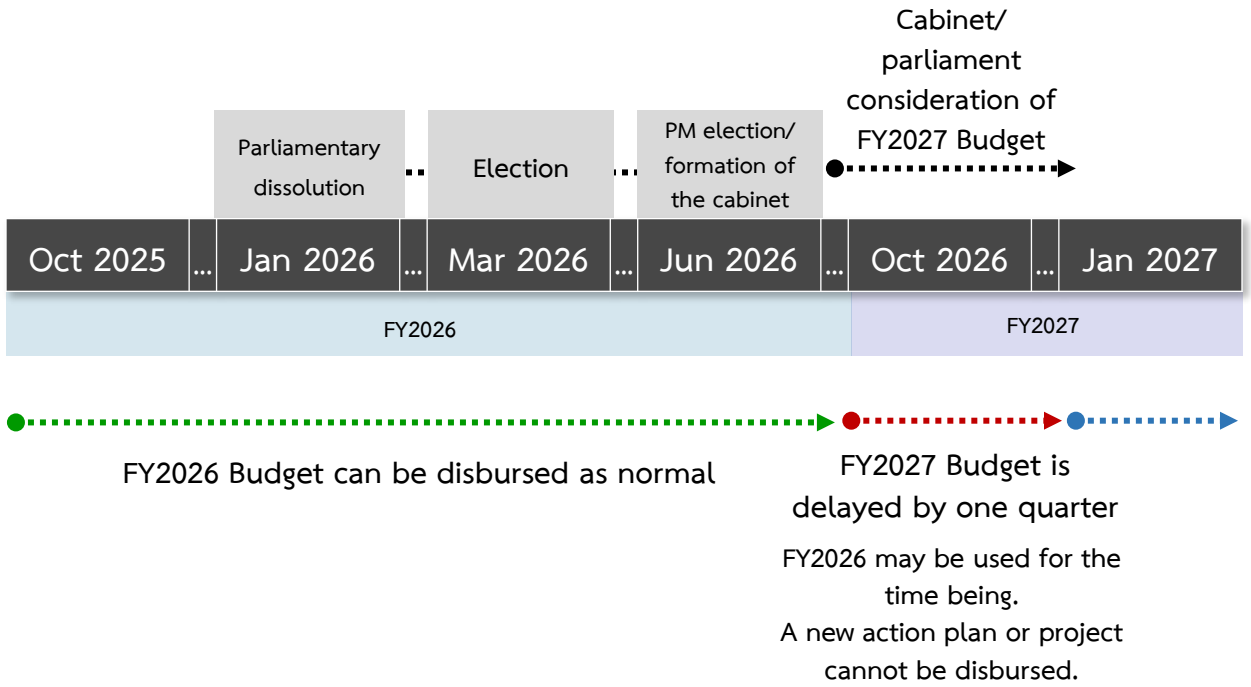
Government spending amount[1/]



Note: [1/]General government consumption and Public investment at current price (SNA definition)

Source: NESDC, BOT calculation

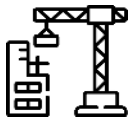
Potential scenario of political events and budgetary process



Government spending would continue to expand in both 2025 and 2026 driven by disbursements from the FY2025 budget as well as the central budget for stimulating economic growth, which is expected to be carried over from the FY2025 budget.

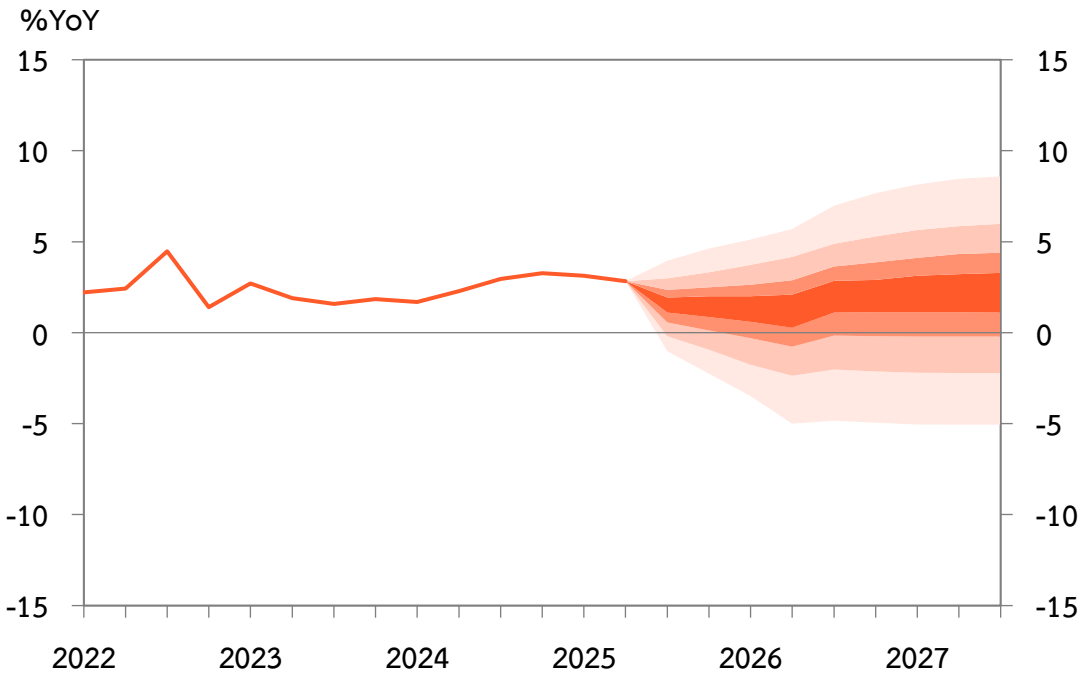
The baseline forecast does not account for potential delays in the FY2027 budget. Nevertheless, there is a risk that the FY2027 budget could come into effect 3 months slower than expected, which would affect government spending in Q4-2026.

Summary of economic forecast by component

 Private consumption	**Private consumption is projected to slow.** Spending on non-essential goods would continue to decline, while spending on essential goods would still see some growth. Looking ahead, private consumption is projected to recover at a slow pace in line with the outlook for labor income. Labor income in the manufacturing sector would slow down due to the impact of global trade policies and persistent competitiveness problems. Meanwhile, labor income in the services sector would slow down follow the slow recovery in the tourism sector, and farm income would contract due to declining agricultural prices.
 Private investment	**Private investment growth is projected to remain low in 2025.** In the first half of the year, investment slowed down due to global trade policy uncertainties. In the latter half of the year, investment growth is expected to improve as these uncertainties recede. **For 2026, private investment growth is projected to strengthen,** driven by investment in new industries, especially the electronics and digital-related sectors. This is reflected in the increase in the value of BOI investment promotion certificates in the prior period, with actual investment outlays expected from 2026 onwards.
 Merchandise exports (value)	**Merchandise exports are projected to record strong growth in 2025.** Merchandise exports accelerated in the first half of the year driven by electronics exports as well as front-loaded exports to the US. In the short-run, advance orders and negotiations with importers on tariff burden sharing are expected to help limit the impact of US tariffs on Thai exporters. However, **merchandise exports are projected to contract in 2026** due to the gradual cost passthrough of tariffs to US consumers and a slowdown in the US economy. These factors would result in a contraction in exports to the US, especially agricultural products, agro-manufactured products, and electrical appliances. Nonetheless, electronics exports are projected to continue expanding, driven by demand in the data center industry.
 Services exports	**Foreign tourist arrivals forecast for 2025 is revised down** to 33.0 million persons on account of safety concerns among Chinese tourists, increased tourism competition from other countries in the region, particularly Japan, China, and Vietnam, and border conflicts. Nevertheless, it is expected that safety concerns would gradually recede, and tourism businesses would adapt by expanding its target market to tourists from the Middle East, India, and Europe. In this regard, **the foreign tourist arrivals forecast for 2026 is revised up** to 35.0 million persons and **tourism receipt is projected to see stronger growth.**

Risks to Thailand's economic outlook is balanced for 2025 but skewed to the downside for 2026

GDP growth



Upside risks

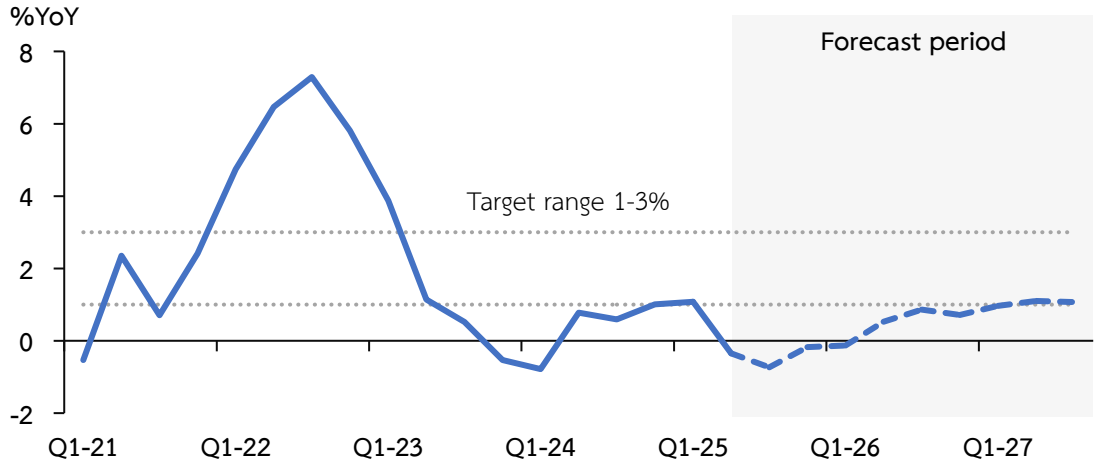
- Additional economic stimulus measures from the government

Downside risks

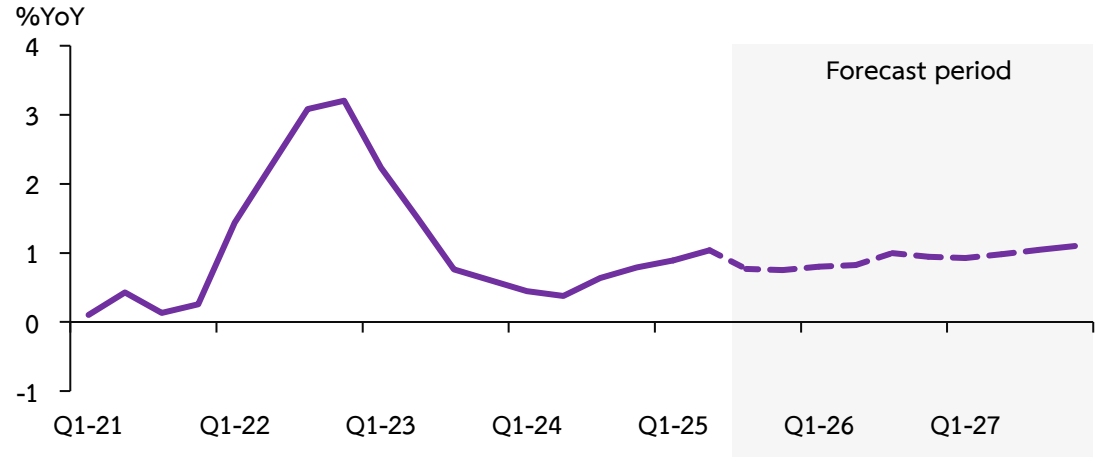
- A potential delay in the enactment of FY2027 budget
- Additional tariff announcements by the US or the impact of US tariffs turning out to be more severe than expected

Headline inflation is projected to remain low on account of energy prices, in line with the global oil price trajectory. Meanwhile, core inflation is expected to remain stable at around 1%.

Headline inflation forecast



Core inflation projection



Source: Ministry of Commerce, BOT calculation and forecast

Inflation forecast

%YoY	2023*	2024*	2025	2026	2027
Headline inflation	1.2	0.4	0.0	0.5	1.0
Core inflation	1.3	0.6	0.9	0.9	1.0
Energy inflation	-0.6	0.1	-4.1	-2.4	0.5
Raw food inflation	2.4	0.1	-0.4	0.9	1.4

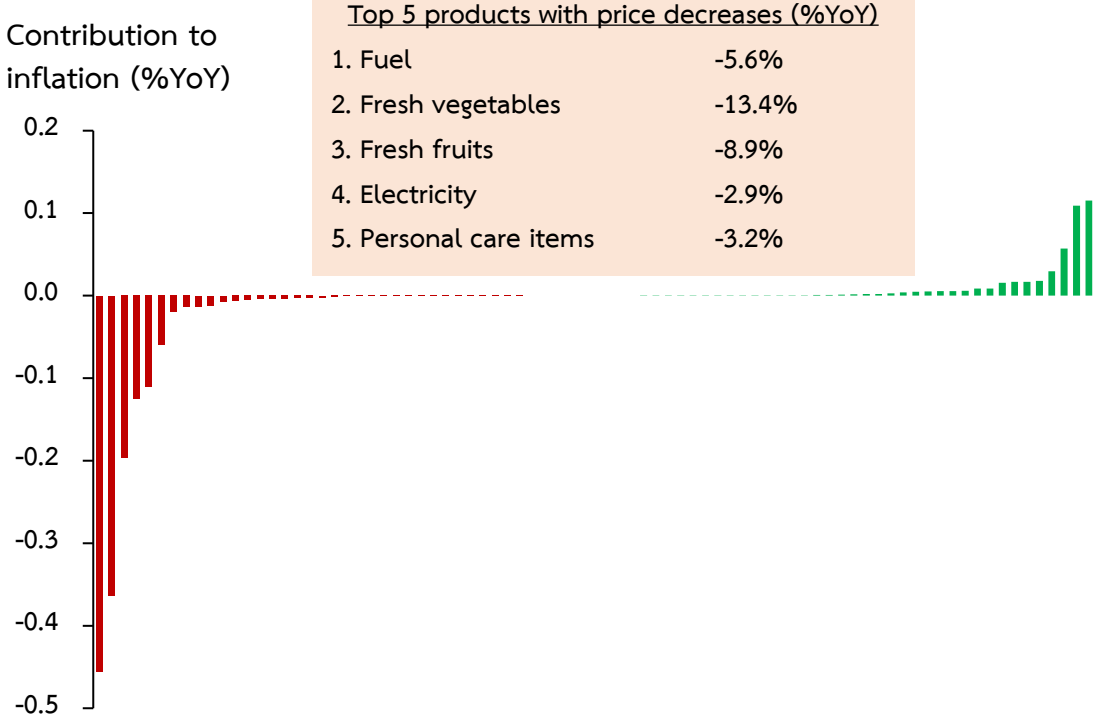
Note: * Outturn

- **Headline inflation in 2025 would remain low** due to falling energy prices, in line with global oil prices, as well as energy subsidies from the government. Meanwhile, raw food price inflation would slow down due to increased agricultural output supported by favorable weather conditions.
- **Headline inflation in 2026 is projected to remain low** due to global oil prices remaining low from higher global oil supply. Nevertheless, headline inflation is expected to **gradually return to the target range in Q1-2027,** as crude oil prices start to stabilize once oil demand and supply become more balanced.
- **Core inflation is expected to be stable around 1% in the period ahead** due to lower energy costs, which are key production inputs, and Thailand's slow economic recovery.

Current low inflation does not indicate a risk to price stability as there is no broad-based decline in prices, and medium-term inflation expectations remain well-anchored within the target range

Price declines are mostly limited to energy and raw food items, while prices for more than half of the goods and services in the CPI basket have either increased or remained largely stable

Price changes of goods and services (September 2025)

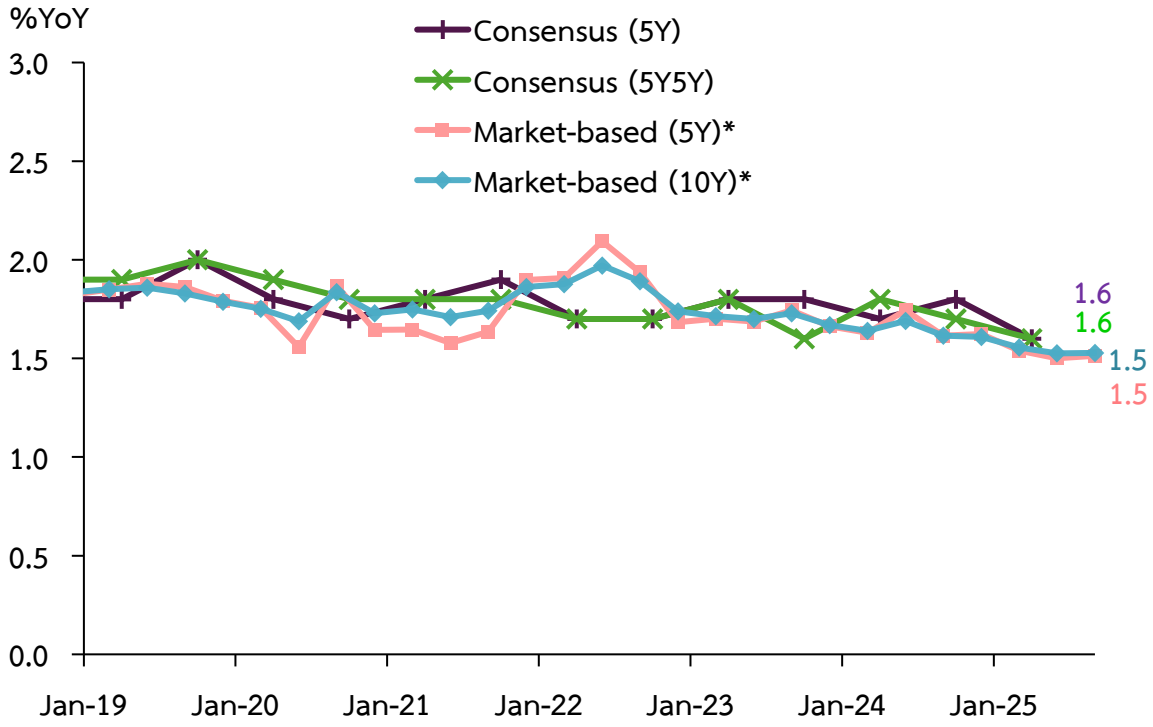


Top 5 products with price decreases (%YoY)	
1. Fuel	-5.6%
2. Fresh vegetables	-13.4%
3. Fresh fruits	-8.9%
4. Electricity	-2.9%
5. Personal care items	-3.2%

Note: Computed from inflation rates of 91 components comprising Thailand's CPI basket
Source: Ministry of Commerce, BOT calculation

Medium-term inflation expectations of the private sector remain well-anchored within the target range

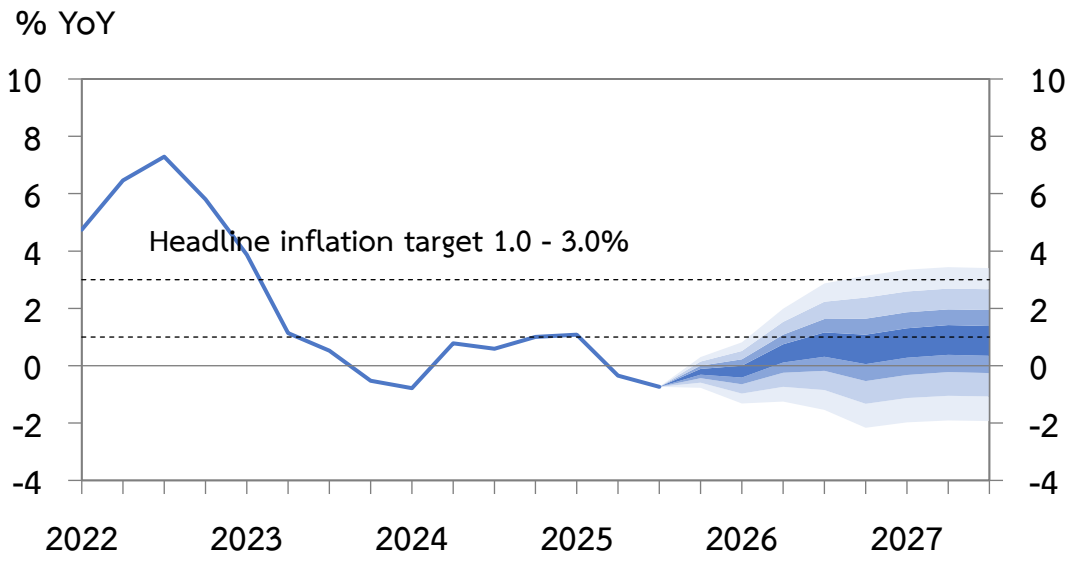
Inflation expectations



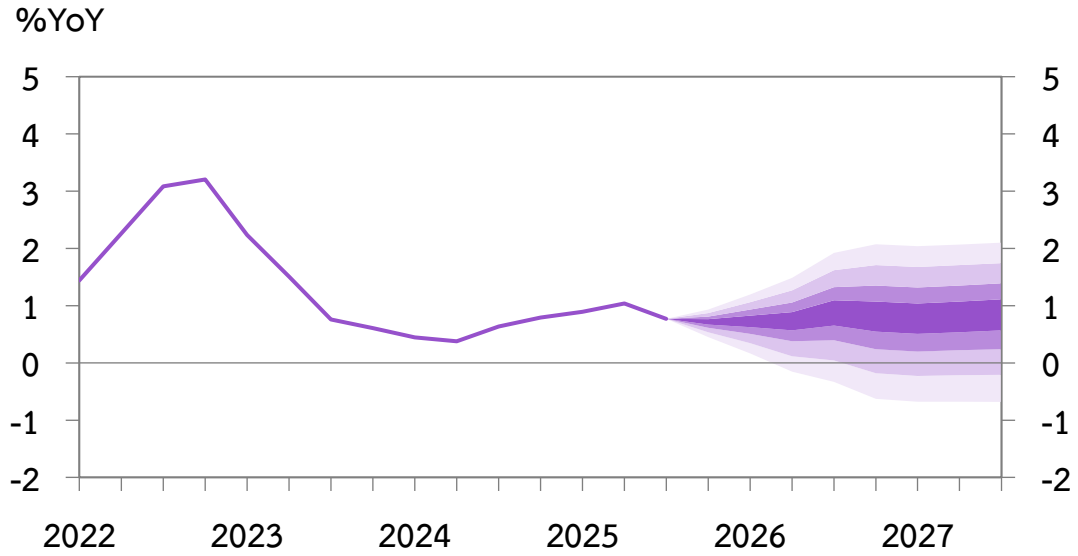
Note: *The estimates are derived using an affine term structure model, incorporating yield curve data and macroeconomic variables.
Source: Asia Pacific Consensus Economics, Ministry of Commerce, BOT calculation

Risks to the inflation outlook are skewed to the downside for both 2025 and 2026

Headline inflation forecast



Core inflation forecast



Upside risks

- Geopolitical tensions resulting in higher global oil prices

Downside risks

- Global energy prices decline due to increased supply or a sharper-than-expected slowdown in global economic growth
- Favorable weather conditions affecting agricultural output and prices

Box 2: Is Thailand's low inflation deflationary?

Recently, Thailand's headline inflation has turned negative since April 2025 and is expected to remain low for some time. Meanwhile, the Thai economy faces multiple challenges and is recovering slowly. This raises the question whether the Thai economy is at risk of entering a state of deflation. This analysis explains the characteristics of deflation, assesses whether Thailand's current low inflation is deflationary, and examines the underlying reasons why Thailand's inflation tends to be lower than other countries.

Characteristics of deflation

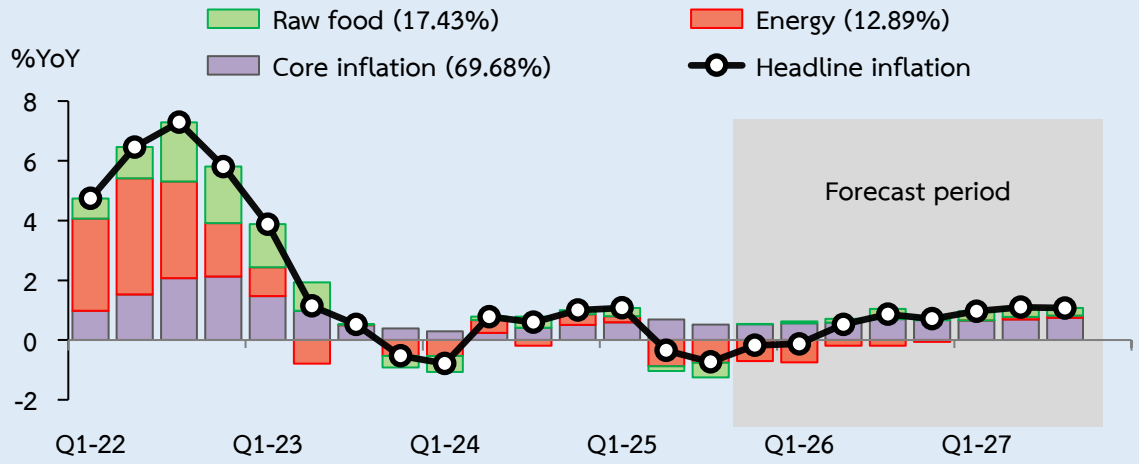
Deflation is a situation in which inflation remains low or negative for an extended period due to broad-based and persistent declines in prices of goods and services that cause consumers to delay purchases in anticipation of further price declines. This, in turn, leads businesses to slow down production, investment, and employment, ultimately impacting labor income and potentially pushing the economy into recession. Such a deflationary spiral usually reflects severe demand weakness, as observed during the Great Depression in the US, many European countries, and Japan. This includes Japan's Lost Decade in the late 1990s, when the housing bubble burst and the economy contracted sharply, causing inflation in Japan to average around 0% for decades and GDP growth to average around 1%.

Is Thailand's low inflation deflationary?

Inflation in Thailand has been low over the recent period, being close to 0% and turning negative in some months. However, determining whether this low inflation is deflationary requires a look into its underlying causes, including detailed price changes as well as the broader economic context, to assess whether slowdowns in consumption, manufacturing production, or investment are driven by declining prices.

Regarding the sources of low inflation, Chart 1 shows that **Thailand's recent low inflation is mainly due to energy and raw food prices, which are typically influenced by supply-side factors as well as external factors.** Since the latter half of 2025, energy prices in Thailand have declined due to rising global oil supply and government subsidies, such as support for electricity bills, contributing to lower domestic energy prices. Raw food prices have also fallen, driven by higher agricultural output from favorable weather conditions, particularly for vegetables and fruits. **These developments indicate that Thailand's recent low inflation is primarily supply-side driven rather than reflecting severe demand weakness typical of deflation.** Core inflation, a component driven by demand-side factors, remains positive at around 1%, close to historical averages.

Chart 1: Contribution of inflation components to headline inflation



Source: Ministry of Commerce, BOT calculation

Box 2: Is Thailand's low inflation deflationary?

A detailed analysis of price changes shows that Thailand's low inflation is not the result of broad-based price declines. A majority—around 60 percent—of items in the CPI basket have either remained stable or increased in price, close to the historical average (Chart 2). Price declines are mostly concentrated in energy and raw food items. Meanwhile, declines in prices of consumer products such as personal care and cleaning products were mainly attributable to low input costs, in line with oil and chemical prices. This could also be driven by intensified competition from online retail channels or inexpensive imports from China.

If Thailand were in a state of deflation, long-term inflation expectations would have declined, causing consumers to postpone purchases and businesses to delay production and investments decisions in anticipation of further price declines. However, **medium-term inflation expectations remain within the target range and close to historical averages.** Five-year-ahead inflation expectations, as reflected by professional forecasters (Asia Pacific Consensus Economics as of April 2025) and financial market data (as of September 2025), were 1.6% and 1.5%, respectively (Chart 3). This indicates that consumers and businesses remain confident that low inflation is temporary, consistent with the BOT's forecast in which inflation would gradually increase in the period ahead as supply-side pressures ease.

Although Thailand's economic growth is facing headwinds due to multiple challenges, the economy is not in recession, nor has demand slowed down sharply as would occur during deflation. Indicators show that consumption continues to expand, with private consumption growing 2.5% and 2.1% in the first and second quarters of 2025, respectively. Meanwhile, production and investment in the first half of 2025 grew 1.3% and 1.4%, respectively. The slow pace of economic growth is not due to low inflation, but rather other challenges Thailand is facing, including external factors such as trade policy uncertainties, and structural factors such as the loss of competitiveness across many manufacturing sectors. This is in line with findings from a survey conducted among 571 firms in July 2025, which revealed that the key factors contributing to low investment or production levels were the economic slowdown, intensified competition, as well as economic and political uncertainties, not the overall decline in prices.

Chart 2: Proportion of items categorized by price movements (%YoY)

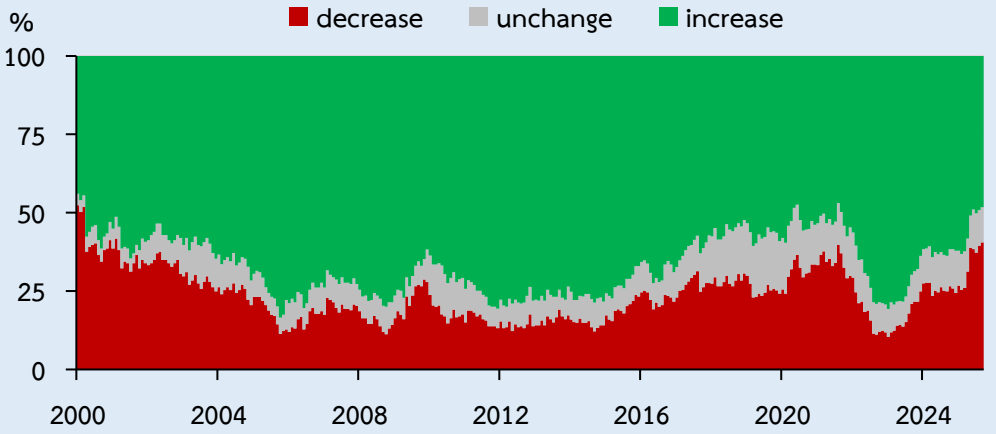
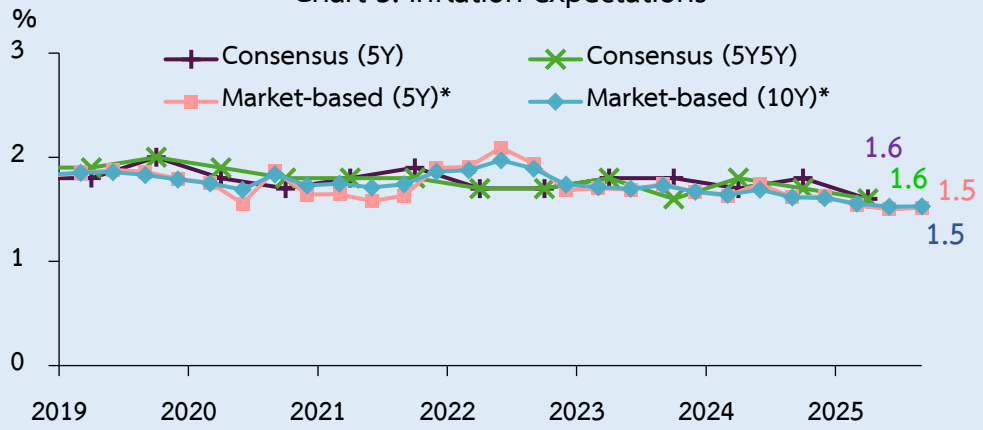


Chart 3: Inflation expectations



Note: * Forecast based on affine term structure model using yield curve data and macroeconomics factors

Source: Asia Pacific Consensus Economics, Ministry of Commerce, BOT calculation

Box 2: Is Thailand's low inflation deflationary?

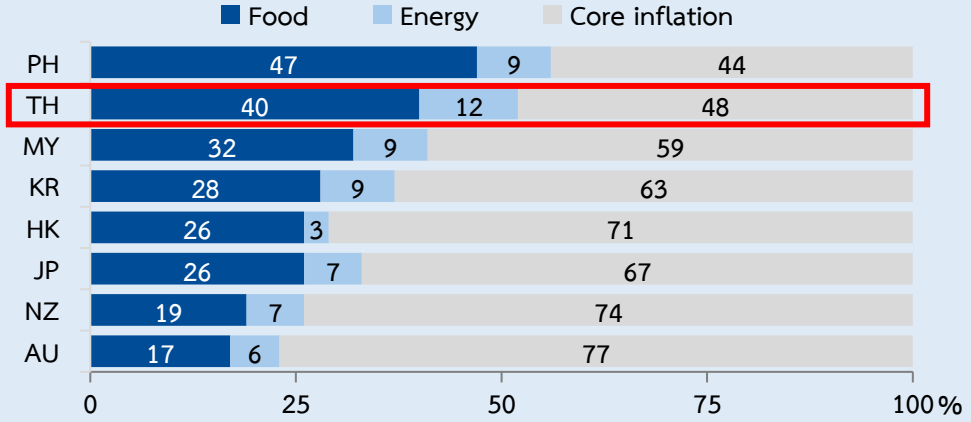
Why is Thailand's inflation lower than other countries?

Although Thailand's current low inflation does not constitute deflation, the level of Thailand's inflation in recent years has tended to be lower than that of many other countries, even though several economies have faced similar supply-side factors or declines in global energy prices. Excluding the periods of high inflation during 2022–2023, Thailand's inflation over the past decade has consistently ranked among the 30 lowest-inflation countries out of 180 globally. Therefore, the key question is why Thailand's inflation has been trending lower and has a lower long-term average compared to other countries?

Thailand's low inflation can be attributed to structural factors. As a small open economy, Thailand's inflation is more sensitive to supply-side and external factors. Energy and raw food prices account for as much as 90% of movements in Thailand's inflation, partly because these items account for 30% of the CPI basket (or 40% if non-core food items, such as cooking ingredients and prepared food, are included). These shares are among the highest in the world, especially when compared with advanced economies, which generally have smaller share of food items in their CPI baskets than developing economies (Chart 4).

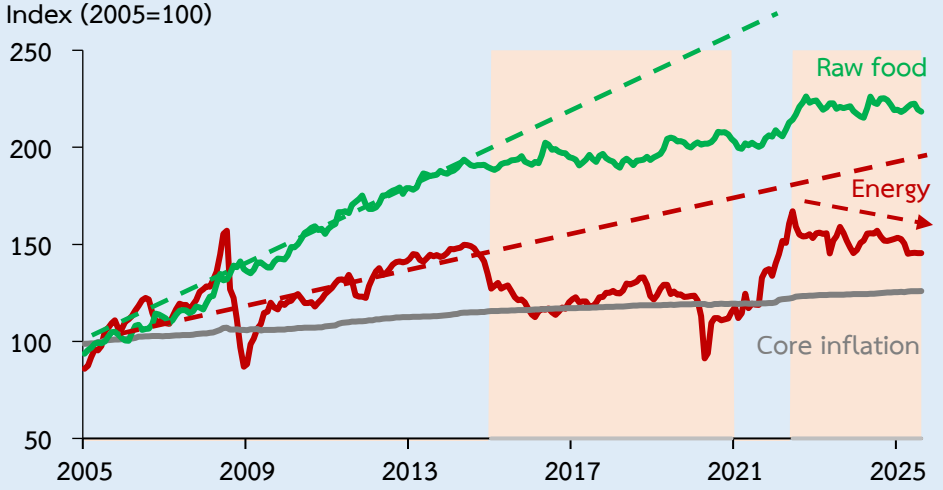
The large share of raw food and energy items in the CPI basket makes Thailand's headline inflation more sensitive to the supply-side factors affecting these categories than in other countries. The long-term average inflation rate for both categories has declined significantly since 2015 (Chart 5). During 2001–2014, average energy inflation was 6%, while raw food inflation averaged 7%. Both fell to around 2% over the past decade. This decline was mainly attributed to the Shale Oil Revolution, in which technological advances improved production efficiency, leading to lower global energy prices. Because energy costs are a major component of food production and transportation, this also contributed to a reduction in raw food prices.

Chart 4: CPI basket composition



Note: Food includes raw food, prepared food, restaurant meals and non-alcoholic beverage to ensure cross-country comparability.

Chart 5: CPI by components

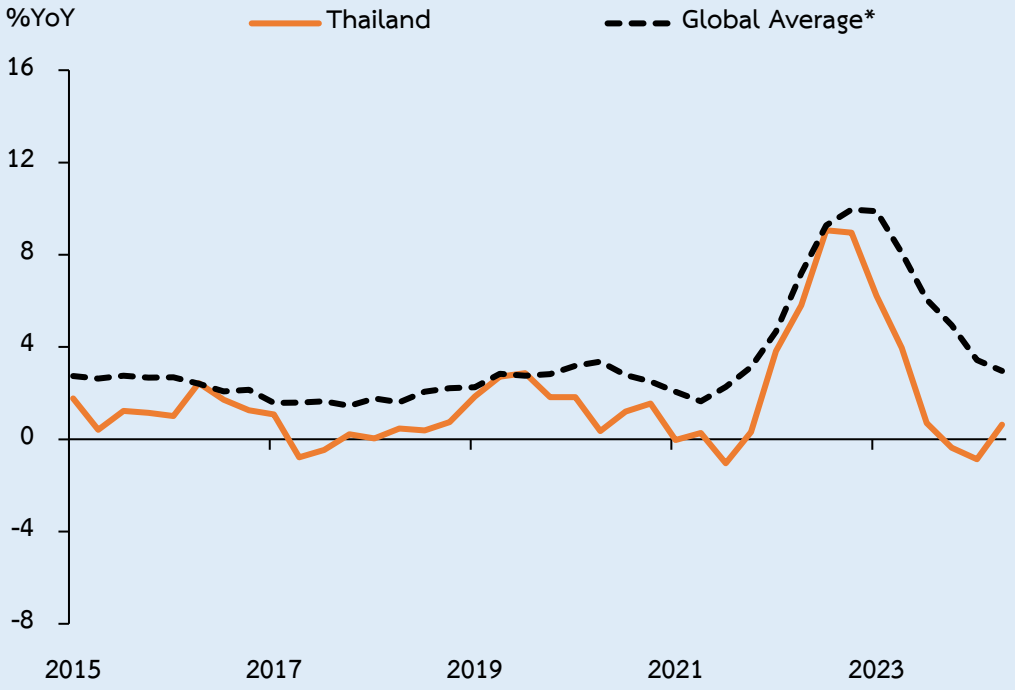


Source: CEIC, official sources of each country, Ministry of Commerce, BOT calculation

Box 2: Is Thailand's low inflation deflationary?

Recent observations show that food prices in Thailand have remained low, in contrast to rising food prices abroad. Although global food prices have increased due to food security concerns and volatile weather conditions affecting agricultural output in many countries, Thailand's food inflation has been considerably lower than other countries (Chart 6). **This is partly due to Thailand's high self-reliance in food production,** which makes the country less susceptible to global food price increases than many others (Chart 7). Similarly, China and Indonesia are relatively self-sufficient in meeting domestic food consumption demand. By comparison, countries that rely heavily on food imports, such as the US or the Philippines, are more exposed to global price changes, and their domestic food prices have risen significantly more than in Thailand.

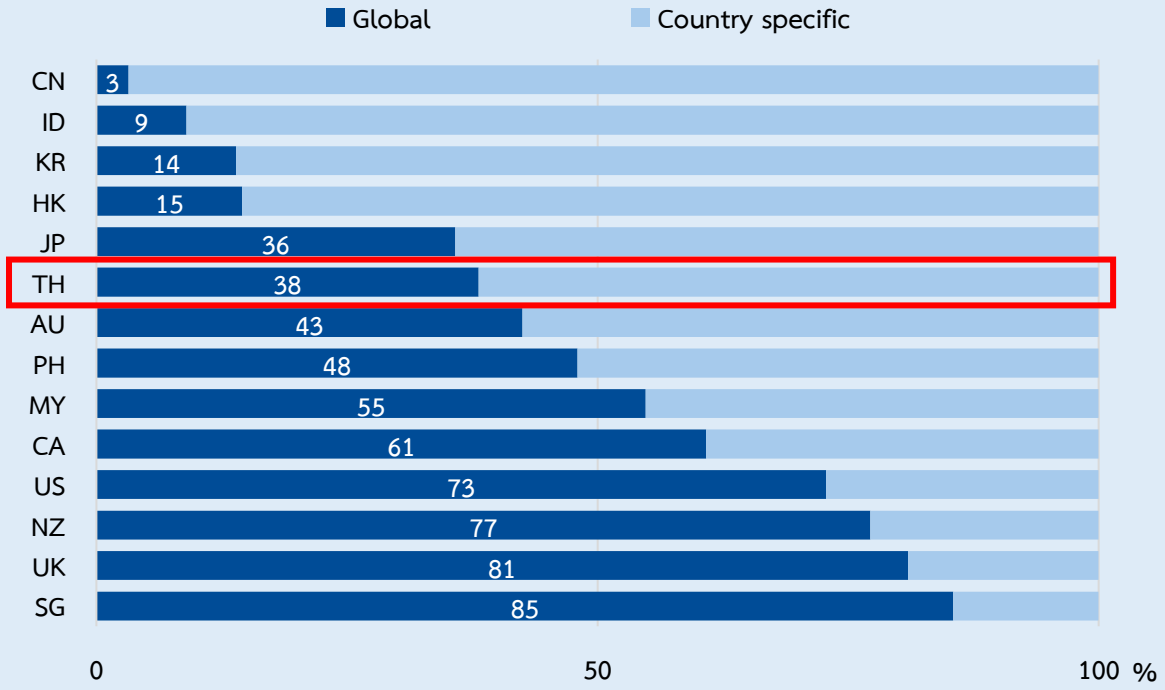
Chart 6: Thailand's food inflation compared with the global average



Note: *Global average 26 countries including AU BR CA CH CN FR GB HK ID IE IL JP KR MY MX NL NO NZ PH PL RU SE SG TH TW US

Source: Ministry of Commerce, official sources of each country, CEIC, BOT calculation

Chart 7: Variance decomposition of food inflation



Note: Calculated based on the first principal component explaining variations in food inflation (%QoQ, seasonally adjusted).

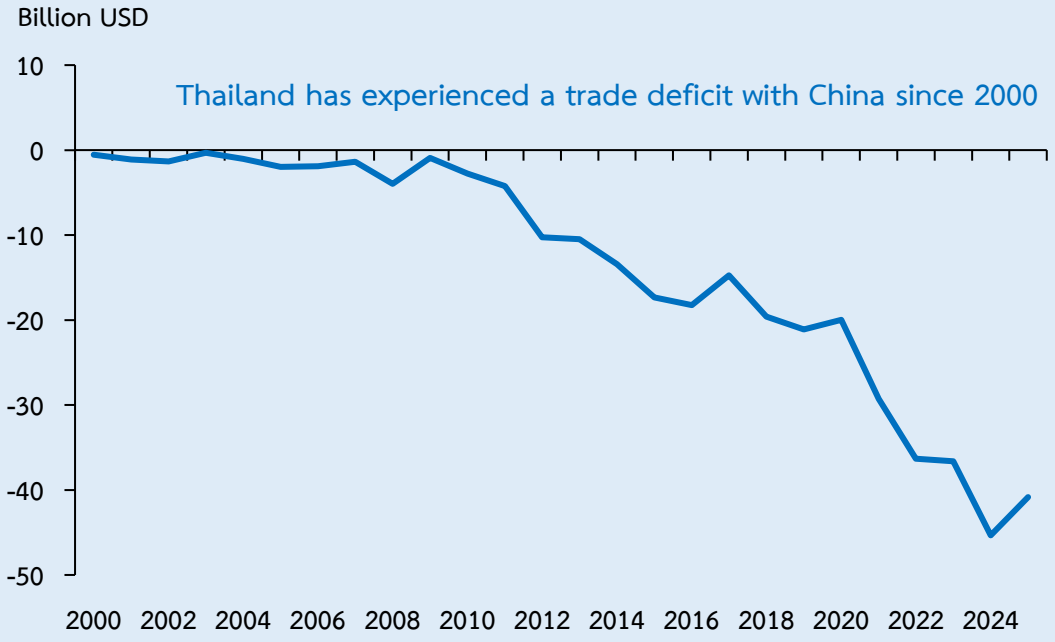
Source: Ministry of Commerce, official sources of each country, CEIC, BOT calculation

Box 2: Is Thailand's low inflation deflationary?

In addition to the effects of declining raw food and energy prices, overall prices of goods and services in Thailand may also face pressure from intensified price competition relative to other countries. This is partly due to Thailand's widening trade deficit with China, especially since 2022 when stricter US trade barriers prompted China to increase exports of surplus goods to regional markets, including Thailand. As a result, prices of Chinese imports have risen at a slower pace than overall import prices (Chart 8 and Chart 9). Although consumers benefit from cheaper goods, intensified competition constrains domestic producers' ability to raise prices.

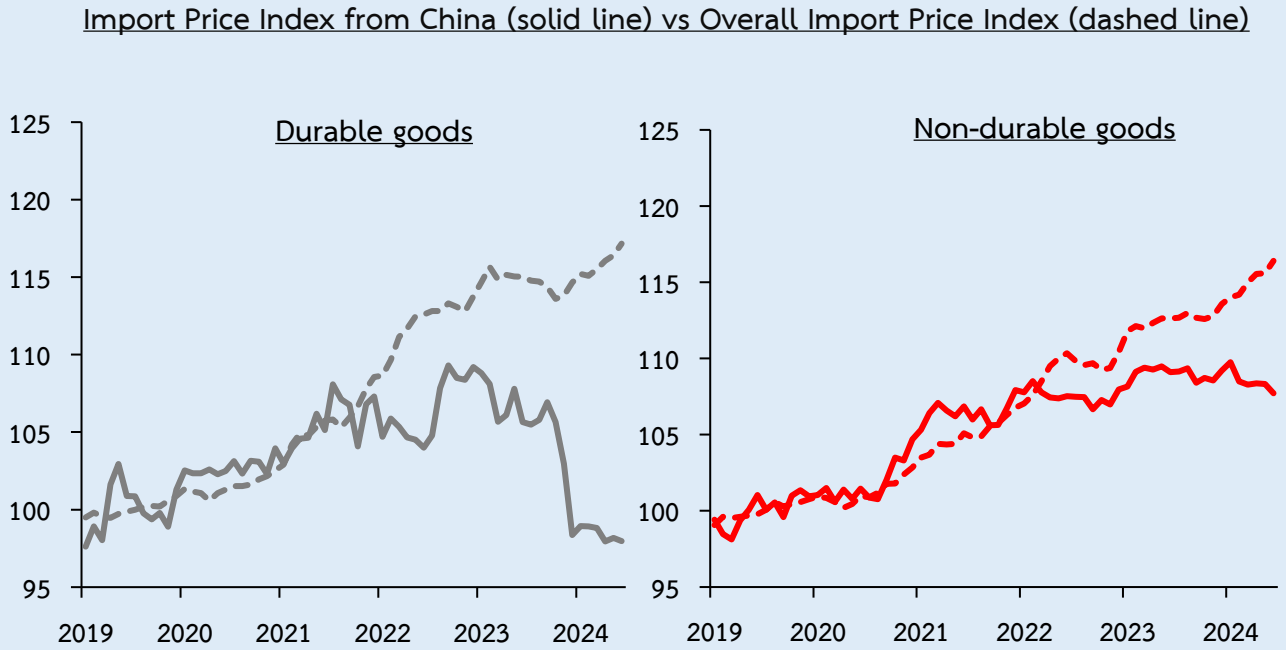
In summary, Thailand's low inflation can be attributed to both supply-side and structural factors, and is not the underlying cause of the country's slow economic recovery. However, the Thai economy currently faces several challenges and vulnerabilities. The BOT therefore sees the need to closely monitor inflation developments, including deflation risks, in order to maintain price stability and support conditions conducive to sustainable economic growth over the long term.

Chart 8: Thailand–China Trade Deficit



Source: Customs Department, Ministry of Commerce, BOT calculation

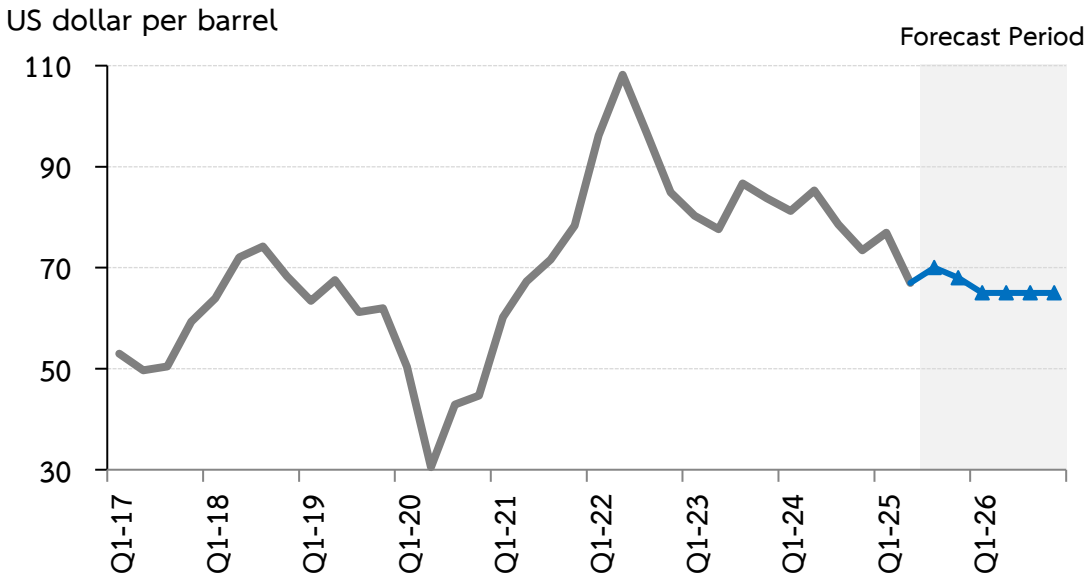
Chart 9: Import Price Index



Source: Customs Department, Ministry of Commerce, BOT calculation

Dubai crude oil assumptions have been revised down on account of OPEC+ producers gradually increasing oil output to maintain market share. However, the outlook for oil prices remains highly uncertain given prolonged geopolitical tensions and uncertainties regarding oil output adjustments.

Projected Dubai crude oil prices



Note: * Consider data until 2 Sep 2025

Projected Dubai crude oil prices

US dollar per barrel	2023*	2024*	2025	2026
Assumptions for average annual Dubai crude oil prices	82.1	79.7	70	65

Note: *Outturn

In 2025, Dubai crude oil prices saw a slight increase in Q3-2025, but would remain below last year's levels overall. This is due to:

(1) **A sharper and more persistent increase in oil supply from OPEC+.** OPEC+ producers ended voluntary production cuts earlier than anticipated and plan to raise oil output by 547,000 barrels per day (1.2% of total output from OPEC+ in 2024) in September and 137,000 barrels per day in October (0.3% of total output from OPEC+ in 2024).

(2) **Continued growth in oil supply from non-OPEC producers,** particularly the US

(3) **The impact of US tariffs on the global economy,** resulting in slower global growth and weaker oil demand

For 2026, oil prices are projected to decline mainly due to increased production from OPEC+. It is expected that OPEC+ would maintain high output levels throughout 2026.

Risks to Dubai crude oil prices outlook are skewed to the downside.

- Upside risks: **Geopolitical tensions that could disrupt energy infrastructure** such as the Russia-Ukraine and Israel-Hamas conflicts.
- Downside risks: **Uncertainties surrounding the global economy and trade war** stemming from US trade policies; **planned oil production hikes by OPEC+ producers** that could cause oil supply to remain high for longer than expected; and higher-than-expected **oil output from non-OPEC producers**

Summary of key forecast assumptions

Annual percentage change	2024*	2025	2026
Trading partners' growth (%YoY)[1/]	2.9	2.7 (2.4)	2.4 (2.3)
Fed funds rate (% at year-end)	4.25 - 4.50	3.50 – 3.75 (4.00 – 4.25)	3.25 – 3.50 (3.25 – 3.50)
Regional currencies (excl. China) vis-à-vis the US dollar (index) [2/]	169.5	166.5 (166.4)	162.0 (166.6)
Dubai crude oil prices (US dollar per barrel)	79.7	70.0 (73.0)	65.0 (70.0)
Farm income (%YoY)	8.1	-6.6 (-5.1)	-5.8 (-4.8)
Government consumption at current price (billion baht)	3,101	3,167 (3,188)	3,223 (3,238)
Public investment at current price (billion baht)	1,066	1,130 (1,140)	1,218 (1,225)

Note: [1/] Weighted by each trading partner's share in Thailand's total exports

[2/] Increasing index represents depreciation, decreasing index represents appreciation

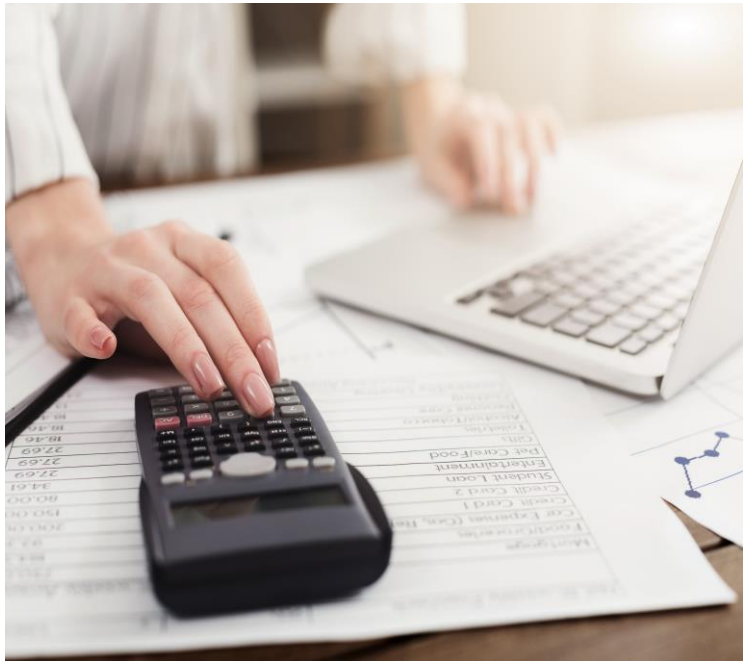
* Outturn

( ) Previous estimates in the Monetary Policy Report Q2-2025

- **Trading partners' growth** is expected to slow. The US economy would moderate after accelerating in the first half of 2025 and face additional pressure from the passthrough of higher tariff-related costs to consumers. Meanwhile, other economies would also slow down due to the impact of US tariffs, although they have benefited from front-loaded exports during the first half of 2025.
- **The Fed funds rate** in 2025 would be 75 bps lower. It is expected that the Fed would cut its policy rate two more times in October and December in response to increased downside risks in the labor market. Meanwhile, inflation risks remain broadly unchanged. For 2026, it is expected that the Fed would cut its policy rate once more to a terminal rate of 3.25 – 3.50% by the year-end.
- **Regional currencies (excluding the Chinese yuan)** would appreciate due to the benefits from continued export expansion and country-specific factors. Such appreciation is also in line with monetary easing in the US resulting in a sharp and rapid depreciation of the US dollar.
- **Dubai crude oil prices** in 2025 would be lower than last year due to continued increases in oil output from both OPEC+ and non-OPEC producers, as well as the impact of US tariffs resulting in a global economic slowdown and weaker global oil demand. For 2026, Dubai crude oil prices would decline further due to increased output from OPEC+ producers who are likely to maintain elevated production levels.
- **Farm income (excluding government measures)** would contract in both 2025 and 2026, reflecting the sharp decline in agricultural prices, especially white rice, rubber, and sugar cane due to increased supply in global and Thai markets.
- **Public expenditure at current prices** in 2025 would be higher than the previous year, in line with the budgeted current spending and more effective budget disbursement. For 2026, public spending would be higher, in line with budgeted current spending and the funds allocated for economic stimulus under the central budget, partially carried over from 2025 to 2026 for disbursement.



Credit growth contracted partly due to declining loan demand and cautious lending behavior amid increased credit risks. Meanwhile, credit quality of SMEs remains to be closely monitored.



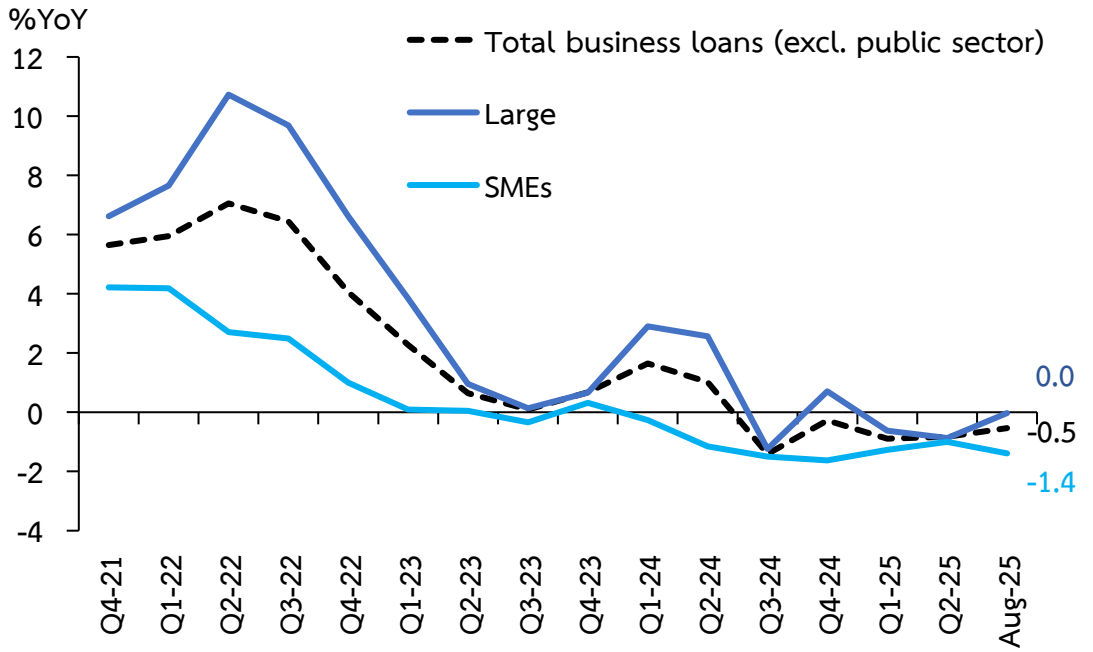
Commercial bank interest rates and bond yields declined, in line with the policy rate.



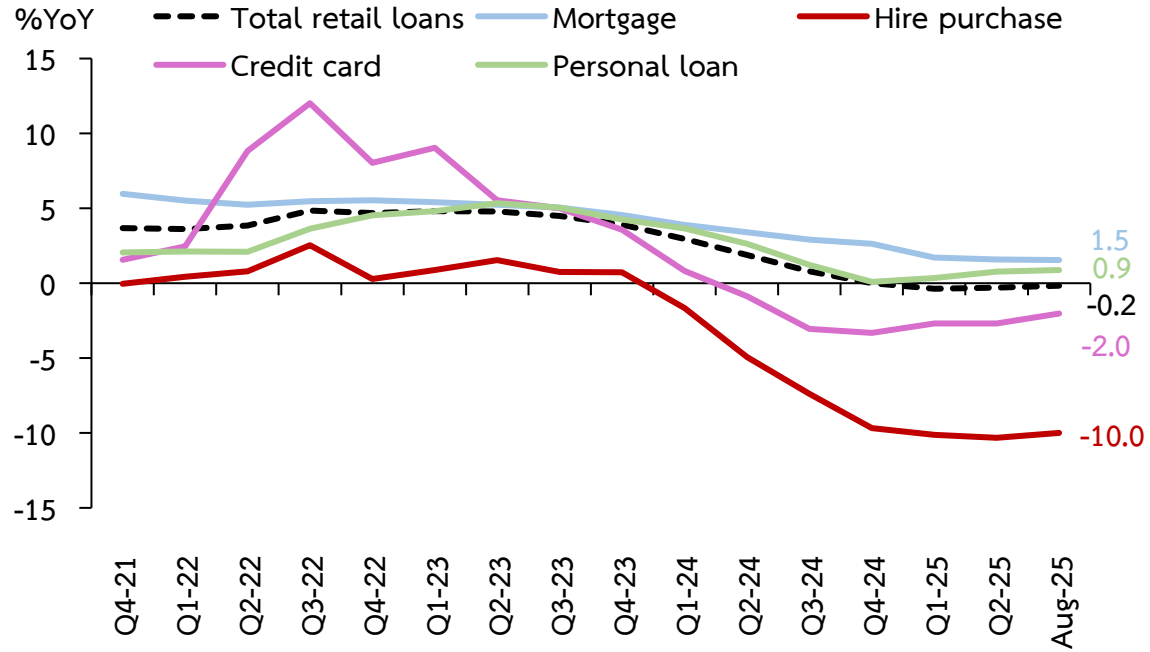
The baht appreciated on average, driven by monetary easing in the US and greater clarity regarding US tariffs and domestic political developments.

Credit growth contracted, partly due to weaker loan demand among large corporates and high debt repayments. Meanwhile, SME and retail loans continued to decline amid heightened credit risk.

Business loan growth by firm size



Retail loan growth by portfolio



Note: (1) Data covers loans from financial institutions, including commercial banks (and subsidiaries), SFIs, and non-banks that are not subsidiaries of commercial banks.

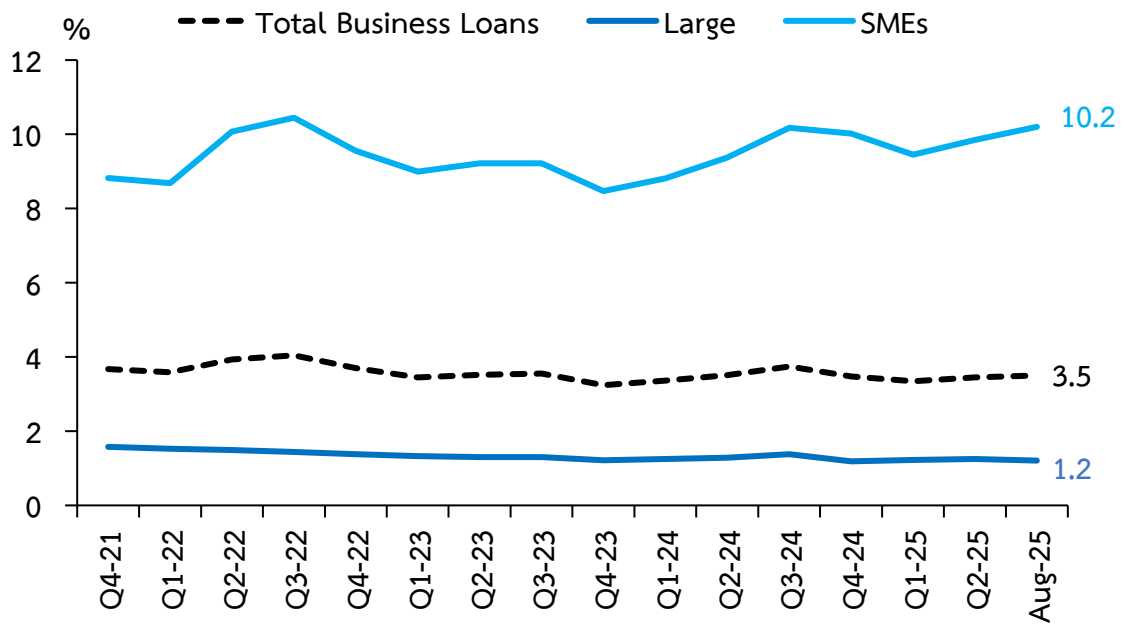
(2) Business size is defined through a combination of the Office of SMEs Promotion's criteria (income and employment) and credit lines from financial institutions.

Source: Bank of Thailand

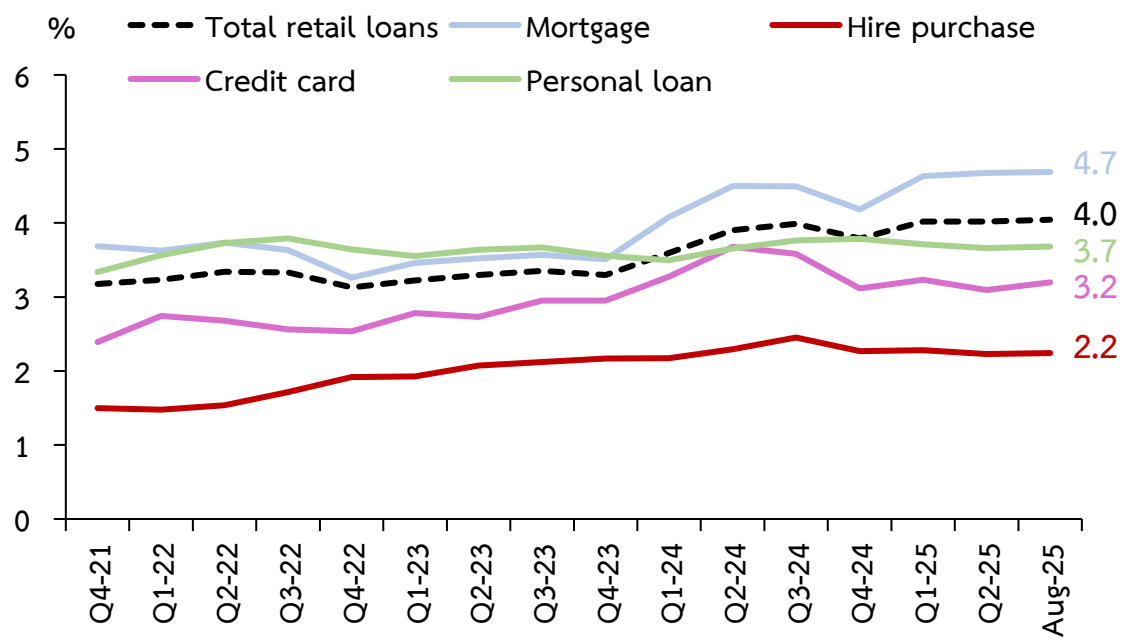
Business loans contracted at a similar pace to the previous assessment. Large corporate loans continued to fall partly due to declining loan demand and increased debt repayments. Meanwhile, SME loans continued to contract due to banks' cautious lending behavior amid heightened credit risk.

Credit quality remained stable overall, but deteriorated for SME loans

Stage 3 (NPL) of business loans by firm size



Stage 3 (NPL) of retail loans by portfolio



Note: (1) Data covers loans from financial institutions including commercial banks (and subsidiaries), SFIs, and non-banks that are not subsidiary of commercial banks.

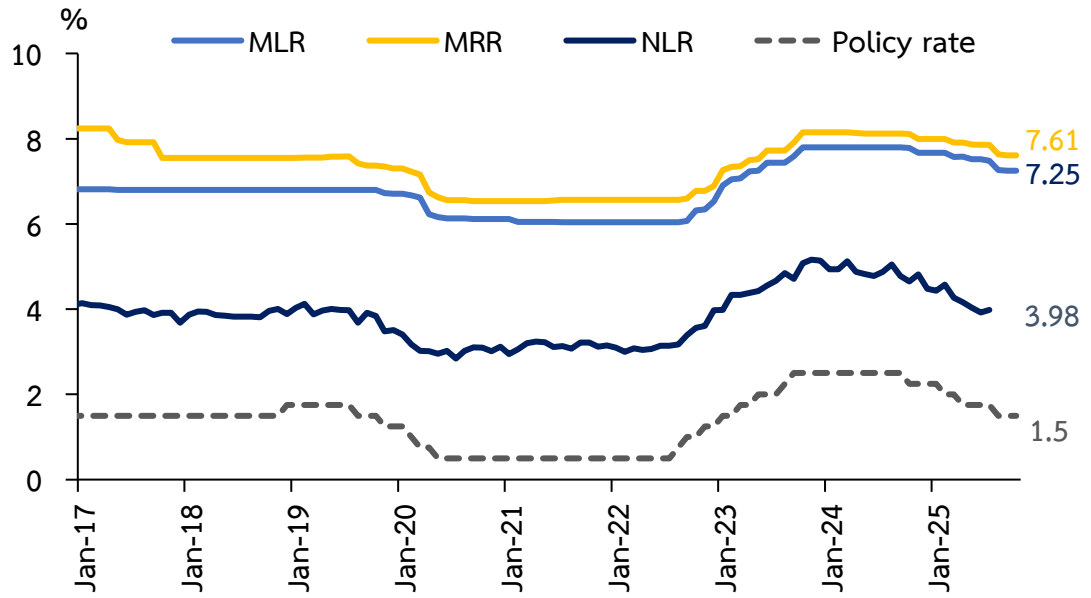
(2) Business size is defined through a combination of the Office of SMEs Promotion's criteria (income and employment) and credit lines from financial institutions.

Source: Bank of Thailand

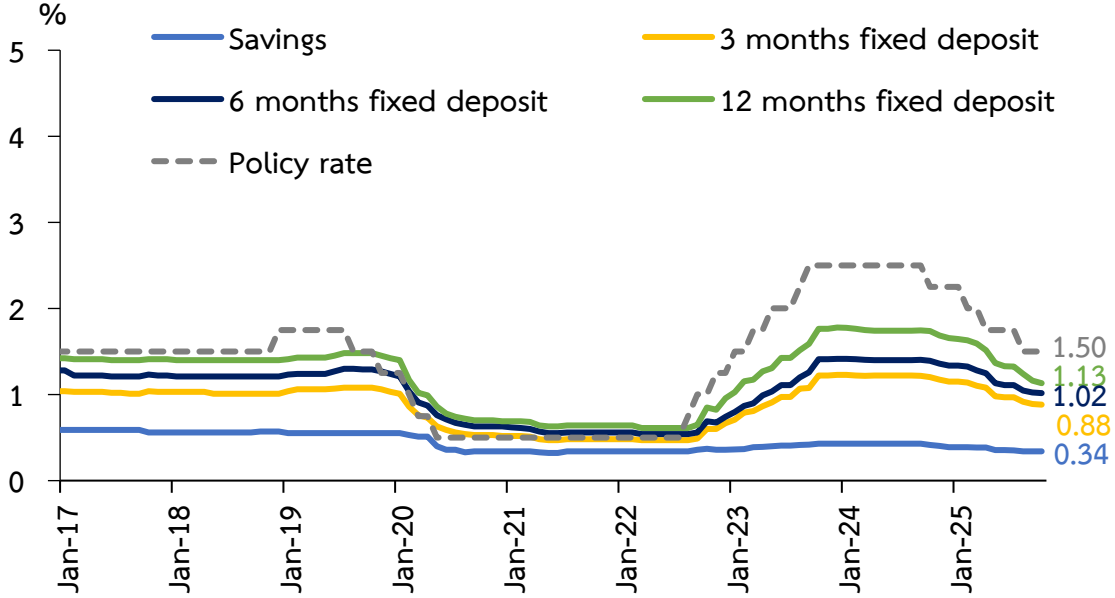
Credit quality of business loans remained stable overall. However, the credit quality of SME loans continued to deteriorate, particularly among borrowers in the agricultural sector of SFIs and commercial bank borrowers who had undergone debt restructuring due to liquidity constraints. **Credit quality of retail loans remained stable** but NPLs have edged up slightly for mortgage and credit card loans.

Commercial bank interest rates declined, in line with the policy rate cut at MPC Meeting No. 4/2025

Commercial bank lending rates



Commercial bank deposit rates

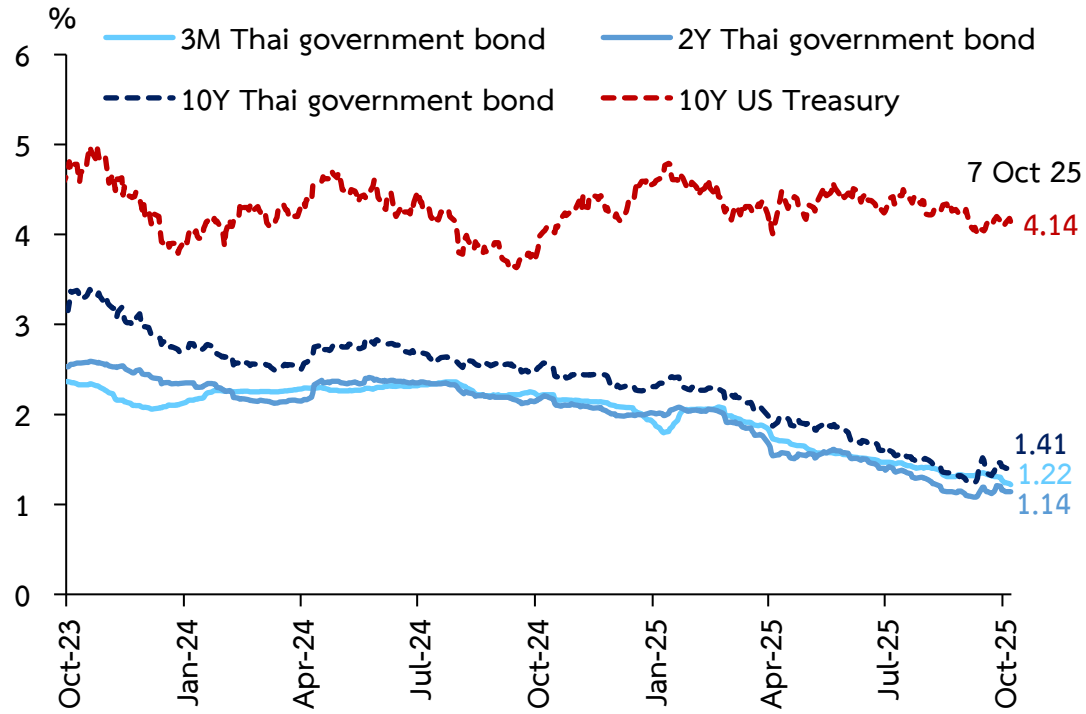


Note: (1) Monthly average of 14 commercial banks (data as of 7 October 2025)
(2) NLR = new loan rate (data as of July 2025)
Source: Bank of Thailand

Commercial bank lending and deposit rates declined overall, in line with the policy rate cut on 13 August 2025. The minimum lending rate (MLR) fell to 7.25%, while the minimum retail rate (MRR) fell to 7.61%, reflecting a full transmission of 100%. On average, the transmission from the four policy rate cuts combined (October 2024 – 13 August 2025) to the MLR, MRR, and the minimum overdraft rate (MOR) is 57%, higher than in previous easing cycles. Savings and fixed deposit rates also declined with fixed deposit rates showing a higher transmission rate than savings rate.

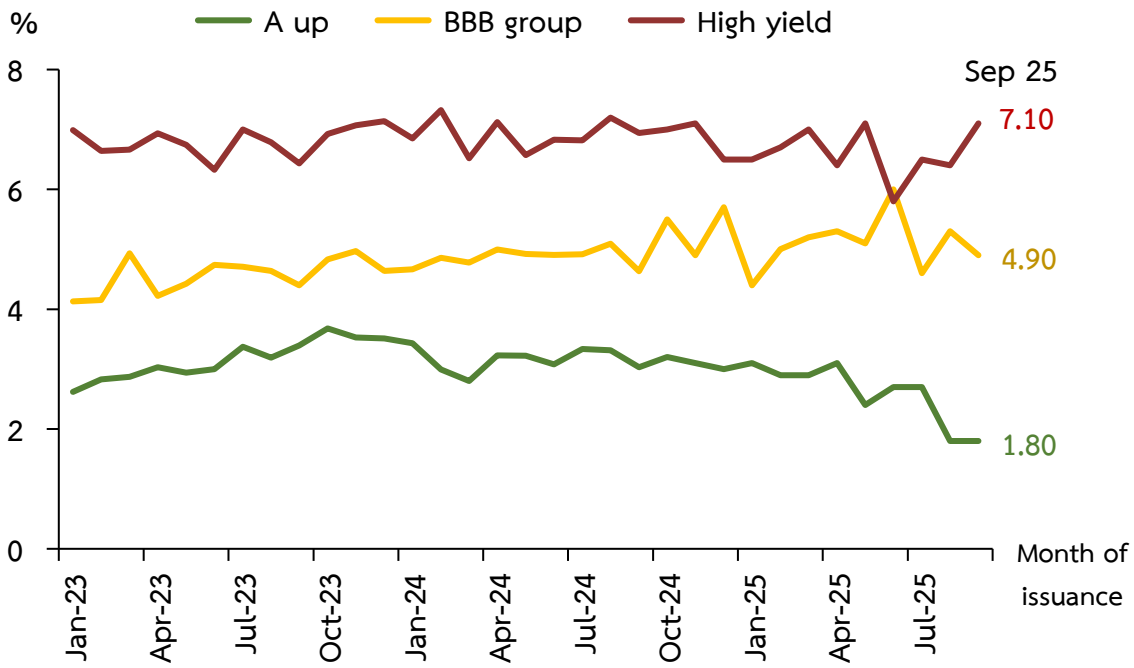
Thai government bond yields and financing costs in the corporate bond market declined overall

Thai government bond and US Treasury yields



Source: Thai BMA (data as of 7 Oct 2025)

Corporate bond yields (1Y < Tenor <=3Y)* by credit rating



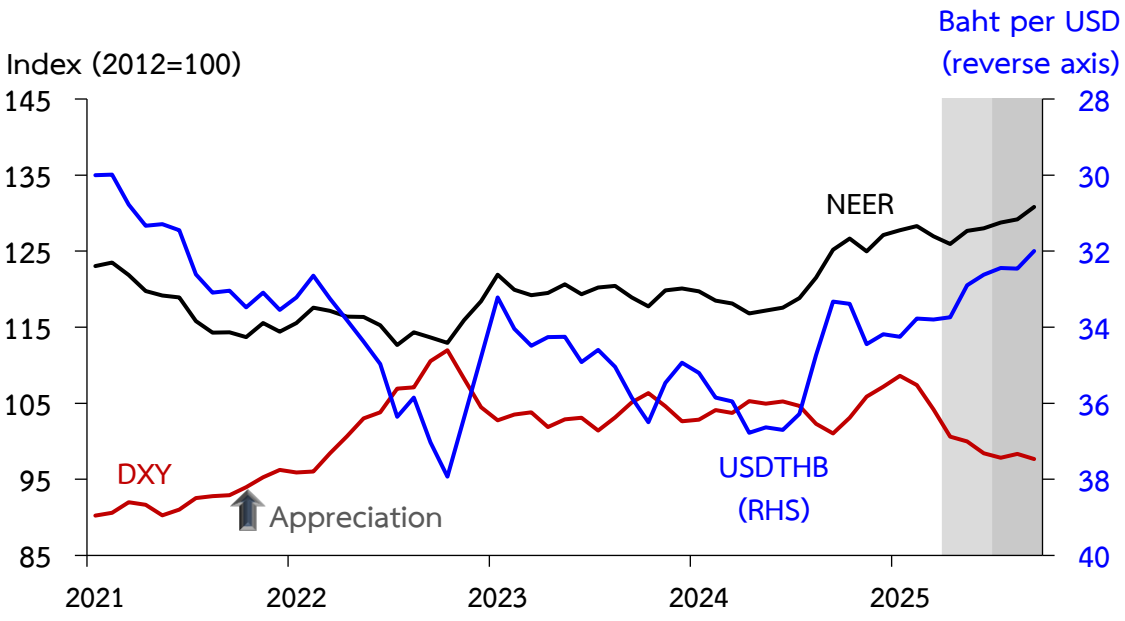
Note: * Weighted coupon rate in primary market, including only corporate bonds denominated in baht offered domestically (excluding SOE bonds and the commercial banking sector) and including both fixed-coupon and zero-coupon bonds.
Source: ThaiBMA, BOT calculation

Government bond yields declined from the previous quarter, in line with the policy rate cut on 13 August 2025. Since September 2025, bond yields have exhibited volatile movements but are expected to stabilize as recent yields have already priced in the MPC's policy rate cut. **Corporate bond yields declined overall**. Yields on corporate bonds rated A and higher fell, in line with the policy rate and strong investor demand. Meanwhile, yields on BBB-rated bonds have remained stable, while yields on high-yield bonds have increased and stayed elevated due to concerns over credit risks.

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The baht appreciated on average from the previous quarter. The appreciation was primarily driven by further monetary easing in the US, the impact of US tariffs being less severe than expected, and greater clarity in the domestic political situation.

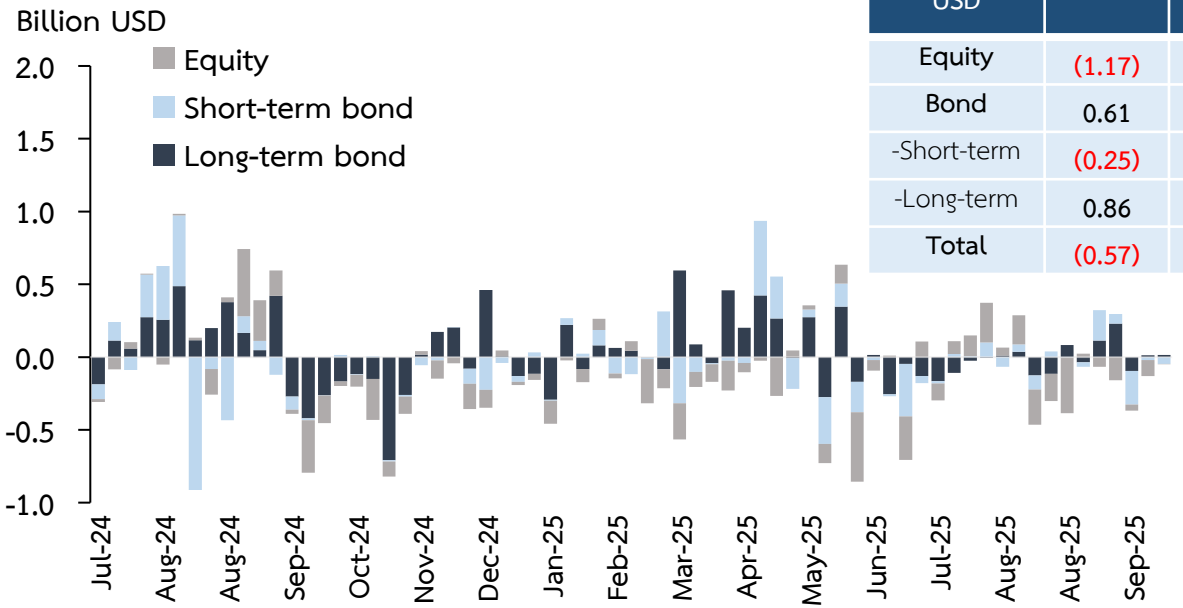
Baht per US dollar (USDTHB) and exchange rate indices



Note: Monthly average (as of 7 Oct 2025)

Source: Bank of Thailand and Bloomberg

Capital flow into Thai securities (Weekly)



Billion USD	Q2/25	Q3/25*
Equity	(1.17)	(0.54)
Bond	0.61	(0.09)
-Short-term	(0.25)	0.08
-Long-term	0.86	(0.17)
Total	(0.57)	(0.64)

Note: Weekly data, cumulative from the first trading day (*as of 7 Oct 2025)

Source: ThaiBMA

The baht against the US dollar exchange rate appreciated in line with the continued depreciation of the US dollar, as markets priced in further policy rate cuts by the Fed following the release of latest growth and employment indicating a slowdown in the US economy. The nominal effective exchange rate (NEER) also appreciated, with the baht outperforming trading partners' and competitors' currencies due to Thailand-specific factors such as better-than-expected outcomes of trade negotiations with the US, greater clarity in the domestic political situation, and rising gold prices. In Q3/2025, there were net capital outflows from both the stock and bond markets. Stock market outflows were driven by foreign investor sell-offs to take profit during periods of high prices, and occasional deterioration in investor sentiment due to US tariffs. In the bond market, outflows from long-term government bonds were partly driven by a credit rating agency's negative outlook on Thailand's sovereign credit rating.

Monetary Policy Decision: Summary of Key Considerations



Economic growth

Growth outlook is largely unchanged from the previous assessment. Growth benefited from front-loaded exports in H1/2025, but would slow down in the period ahead due to risks stemming from both domestic and external factors.



Inflation

Headline inflation would remain low in both 2025 and 2026 mainly due to supply-side factors, and would gradually return to the target range in Q1/2027.



Financial stability

Credit growth contracted due to weaker loan demand among large corporates and banks' cautious lending to borrowers with high credit risk.

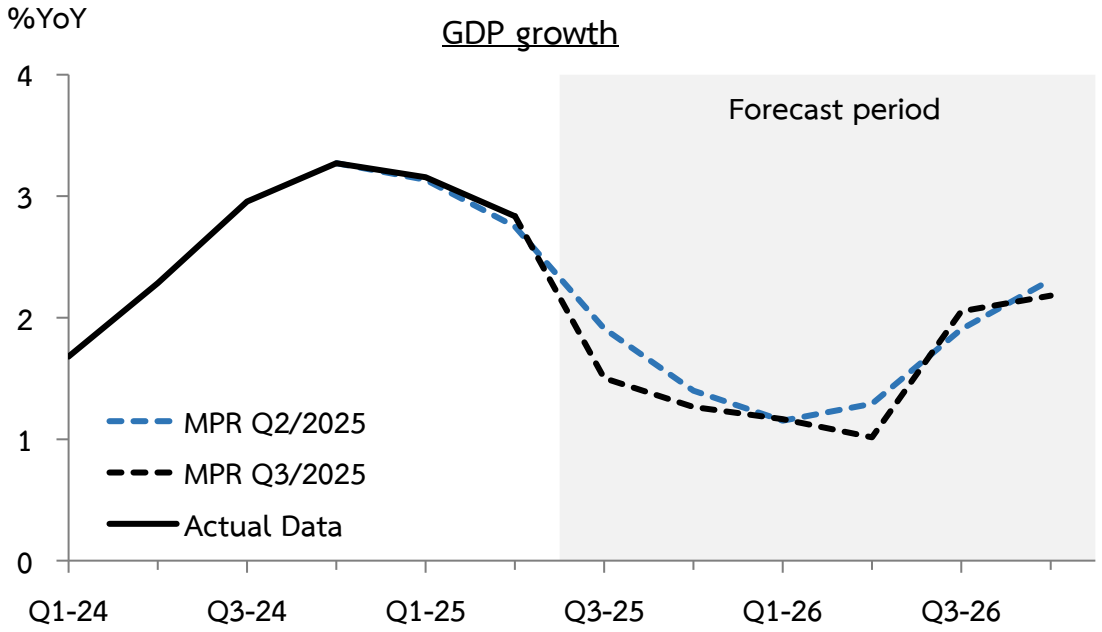


Monetary policy decision

Monetary policy should remain accommodative to support economic growth, giving due consideration to the timing and effectiveness given the limited policy space.

The Thai economy grew as expected in the first half of 2025 driven by front-loaded production and exports. However, growth is projected to slow down in the latter half of 2025 and in 2026 due to the impact of US tariffs, with growth rates falling below potential.

Economic outlook remains broadly unchanged from the previous assessment, with growth expected to moderate in the latter half of 2025 and into 2026

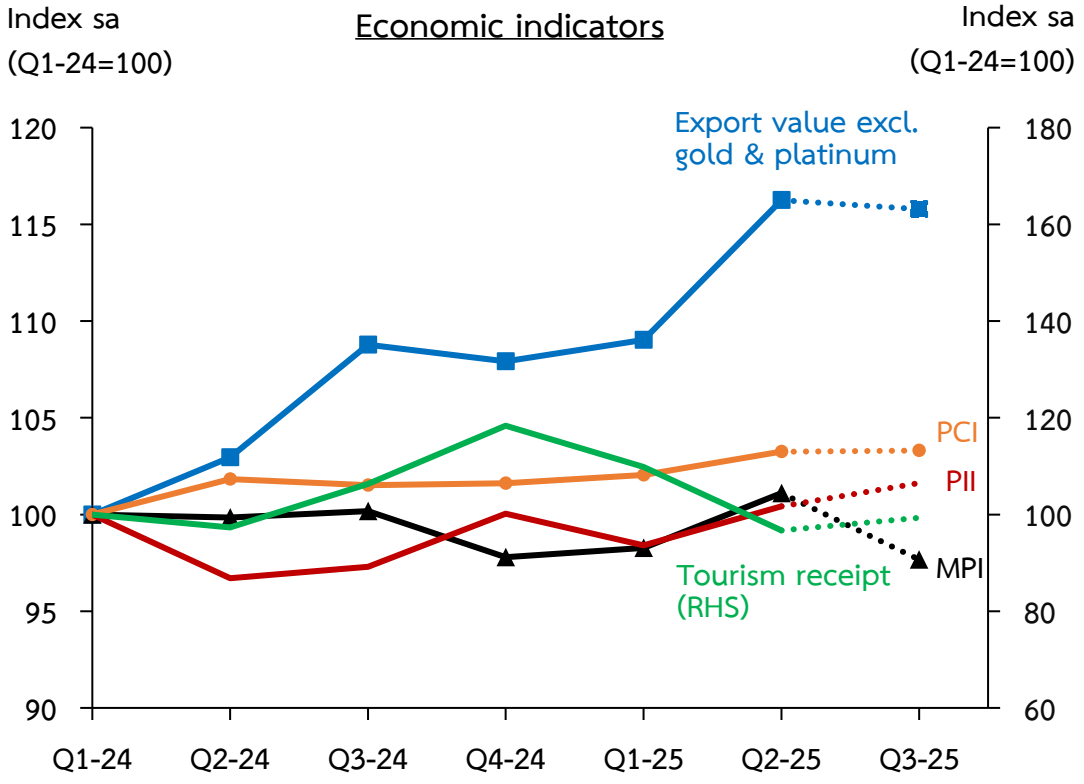


%YoY	2024*	H1-25*	H2-25^{F}	2025^{F}	2026^{F}
GDP growth	2.5	3.0	1.4	2.2	1.6

Note: *Actual Data ^{F}Forecast

Source: NESDC, BOT calculation

Exports would slow due to US tariffs; manufacturing would slow from temporary production halts to enhance production efficiency; and tourism would recover at a gradual pace



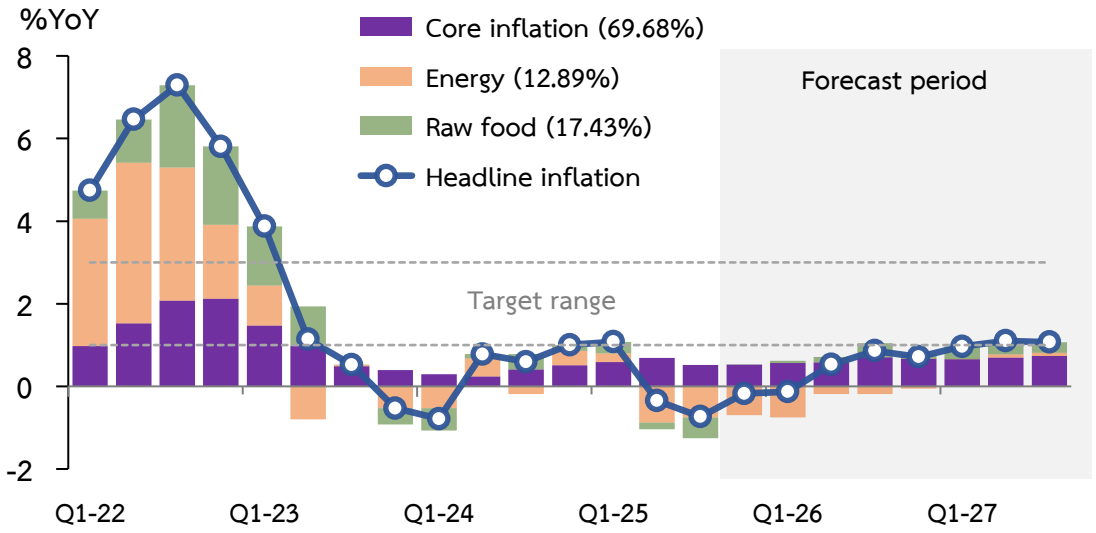
Note: PCI = private consumption index, PII = private investment index, MPI = manufacturing production index

Source: OIE, BOT

Headline inflation is expected to remain low, mainly due to supply-side factors, and does not indicate deflation, which would involve a broad-based decline in prices.

Headline inflation declined primarily on account of lower energy and raw food prices, while core inflation remained stable.

Contribution to headline inflation



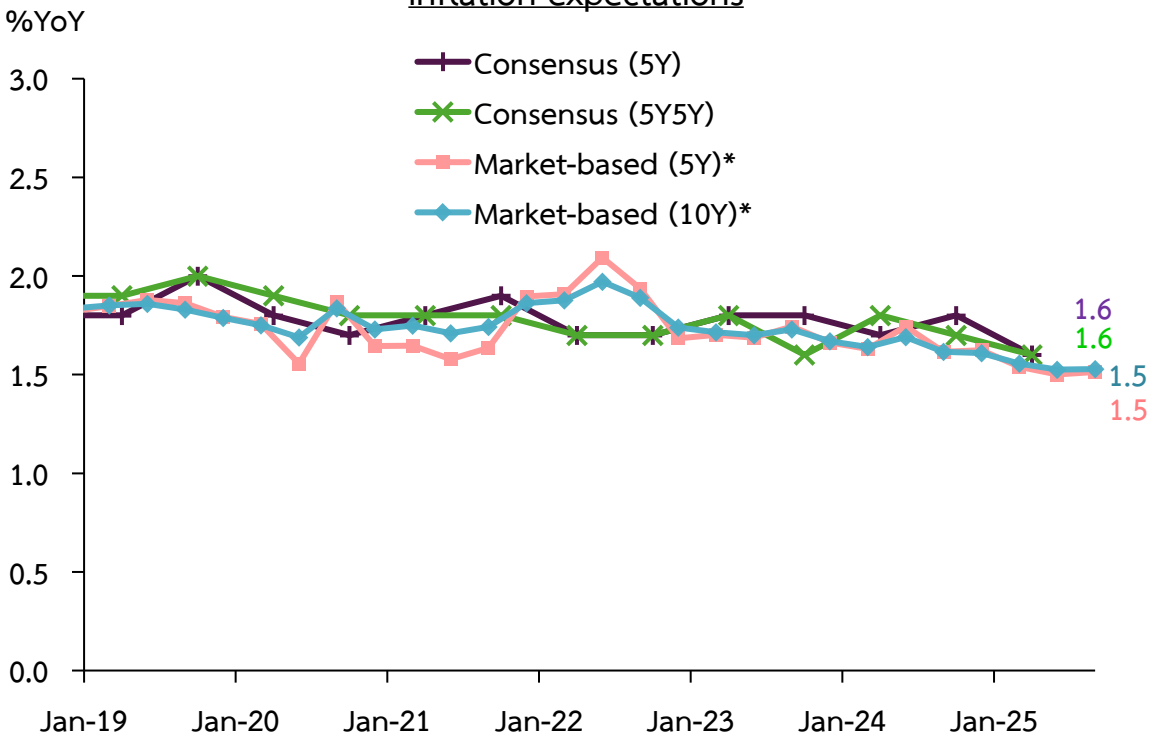
%YoY	2023*	2024*	2025^{F}	2026^{F}	2027^{F}
Headline inflation	1.2	0.4	0.0	0.5	1.0
Core inflation	1.3	0.6	0.9	0.9	1.0

Note: *Outturn ^{F}Forecast and ( ) indicates weights in CPI basket

Source: Ministry of Commerce, BOT calculation and forecast

Medium-term inflation expectations remain well-anchored within the target range

Inflation expectations

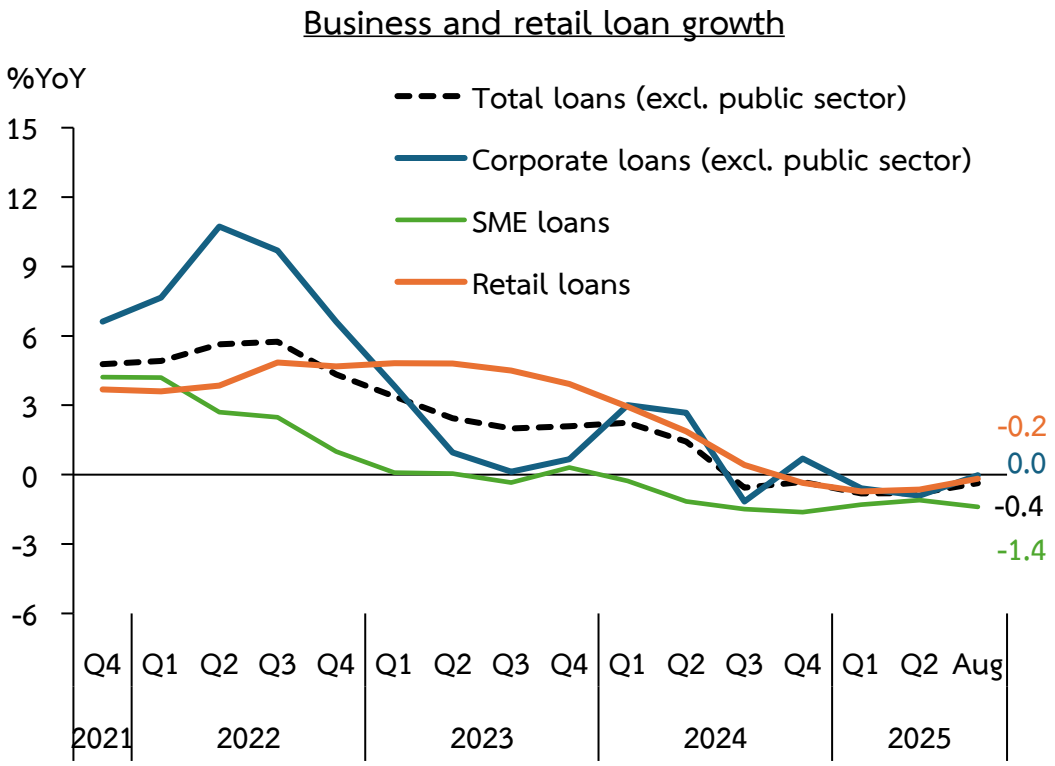


Note: *The estimates are derived using an affine term structure model, incorporating yield curve data and macroeconomic variables.

Source: Asia Pacific Consensus Economics, Ministry of Commerce, BOT calculation

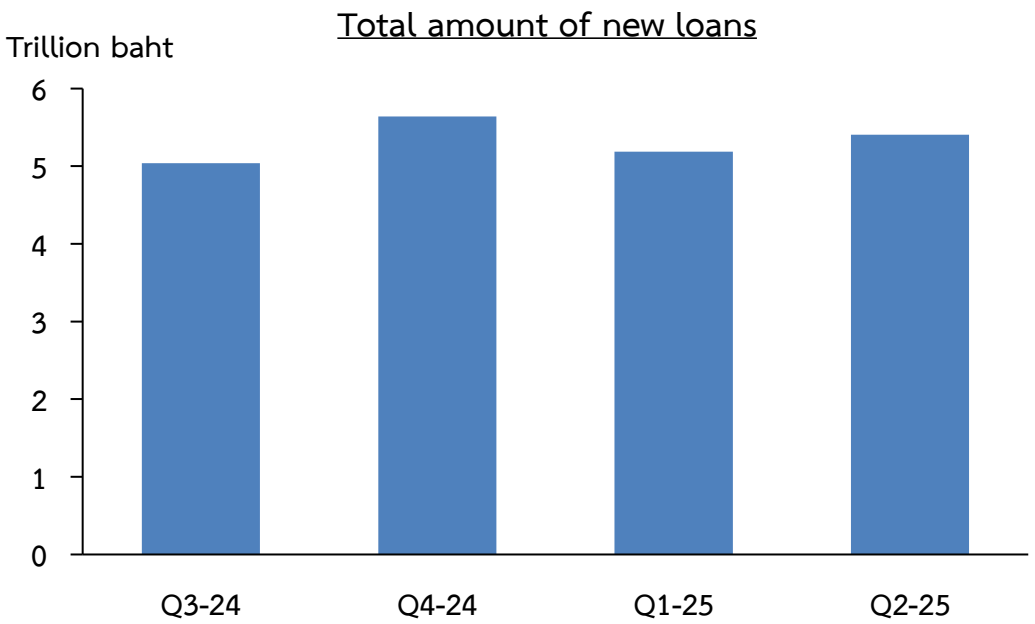
Credit growth continues to contract, particularly among SME loans, while growth in new loans remains broadly stable. There remains the need to monitor how SMEs are adapting, especially those facing challenges related to competitiveness and credit access.

Business and retail loans are still contracting



Note: Financial institutions including commercial banks (and subsidiaries), SFIs, and non-banks that are not subsidiary of commercial banks. For retail loans, the coverage includes commercial banks (and subsidiaries), SFIs, and non-banks under regulation. For business loans, business size is defined through a combination of the Office of SMEs Promotion's criteria and credit lines.
Source: BOT

Growth in new loans is largely stable



Note: The coverage of new loans includes only commercial banks, reported quarterly and excluding rollover loans.
Source: BOT

Box 3: Business and financial conditions of SMEs

Thailand's economic growth is projected to slow, partly because growth momentum among SMEs has fallen by almost 50% during the post-COVID period (Chart 1) due to multiple challenges, including structural changes and intensified competition. Although the overall economy continued to expand, growth among SMEs has slowed, reflecting issues in income distribution. Thailand hosts as much as 3.3 million SMEs, accounting for 99.5% of all firms and serving as a primary source of employment, representing 69% of total private-sector jobs.

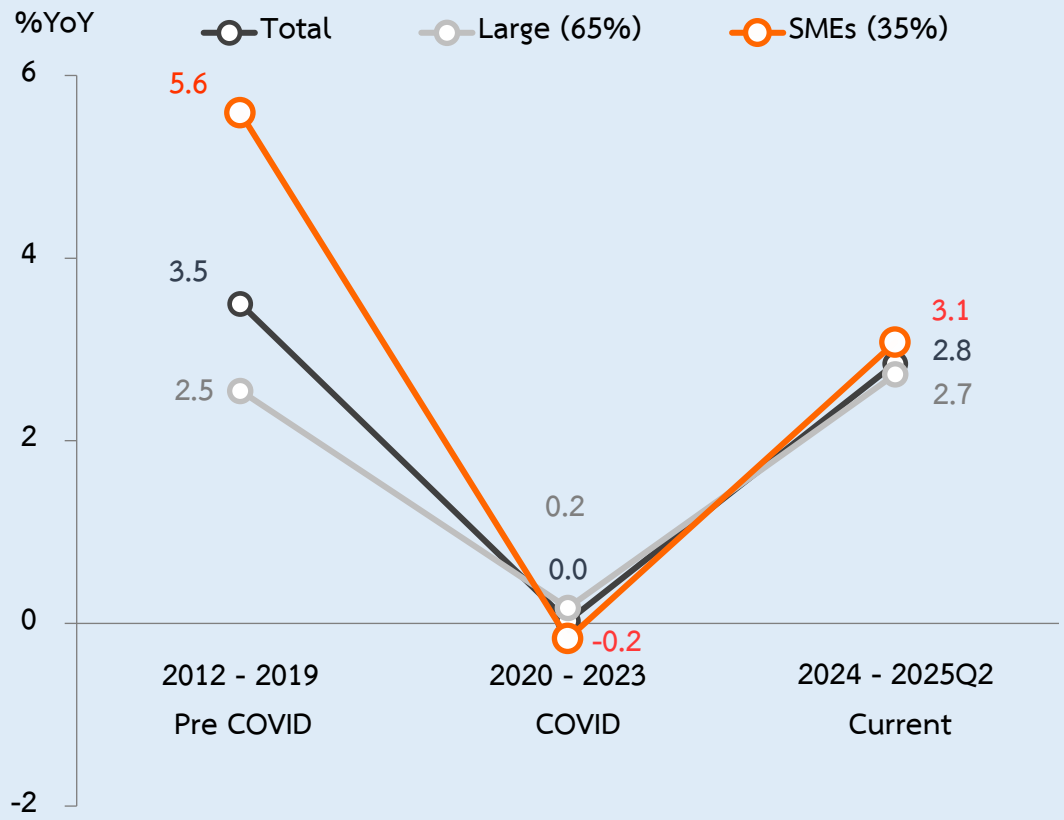
SMEs facing difficulties (around 23% of GDP) have shown significantly lower growth compared to pre-COVID levels. These SMEs can be categorized into 2 major groups:

(1) Manufacturing businesses affected by structural factors and increased competition from imported goods (import flooding), such as those in the automotive, electronical appliances, metals, textile and garments sectors.

(2) Tourism-related businesses such as hotels, restaurants, and retail, which have begun to recover but still face intense competition due to changes in consumer behavior and an oversupply of businesses in the market.

However, **some SMEs have managed to adapt and remain competitive to some extent** (about 12% of GDP) amid the changing technological landscape and evolving consumer preferences. These include firms in food production, chemical, electronics, healthcare, business support, and information and communication sectors.

Chart 1: Average economic growth by business size



Note: ( ) represents percentage share of GDP.

Source: Office of Small and Medium Enterprise Promotion (OSMEP), BOT calculation

Box 3: Business and financial conditions of SMEs

Looking ahead, SMEs are expected to face additional challenges from recent developments, including US tariffs and lower foreign tourist arrivals compared to the past, which would exacerbate existing competitiveness issues. Currently, many SMEs are experiencing performance difficulties, as reflected in their weaker debt repayment capacity. Chart 2 shows that the share of NPLs in SME loans remains high and has continued to rise sharply during the post-COVID period, in contrast to large corporates, where NPL ratios have remained low and on a downward trend.

Deterioration in the credit quality of SME loans is a credit risk that prompted banks to exercise greater caution when lending to this group of businesses. As a result, SME loans have declined despite sustained loan demand, leaving SMEs strained for liquidity in recent periods. Meanwhile, corporate loan growth has declined due to weaker loan demand during periods of economic slowdown and heightened uncertainties (Chart 3).

In the current context, where SMEs are at risk of becoming NPLs, a reduction in the policy rate may not significantly improve credit access for SMEs. This is because policy rate cuts do not address the root cause of the SMEs structural problems that have made banks cautious about lending to this segment. However, **the cumulative 100bps policy rate cut over the past year has helped alleviate SMEs' debt burden to some extent by reducing interest costs.** This benefit applies to both existing debtors—whose loan contracts are based on the M-rates, which declined by about 50 bps—and new debtors, whose new loan rates are almost 100bps lower over the past year.

Chart 2: NPL ratio of business credit in financial institutions system

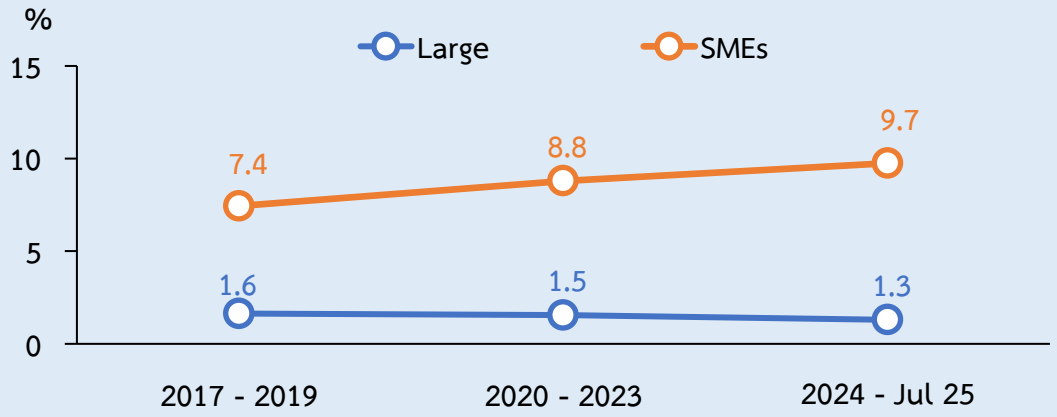
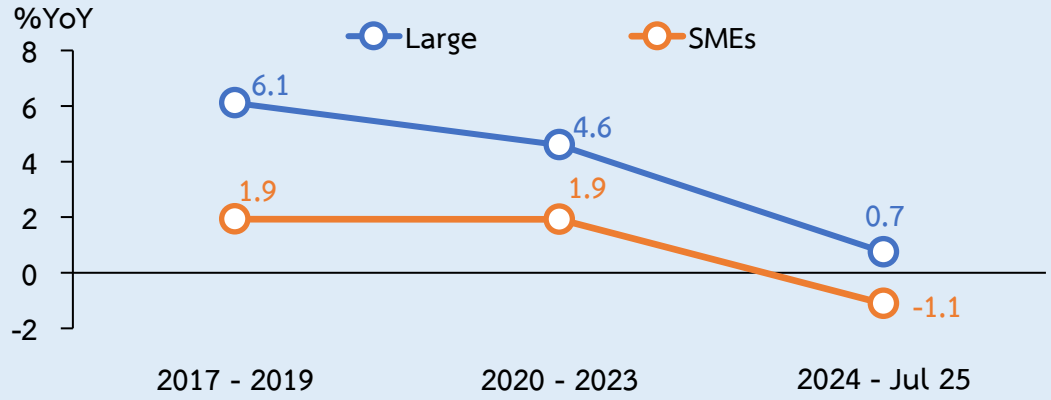


Chart 3: Business credit growth in financial institutions system

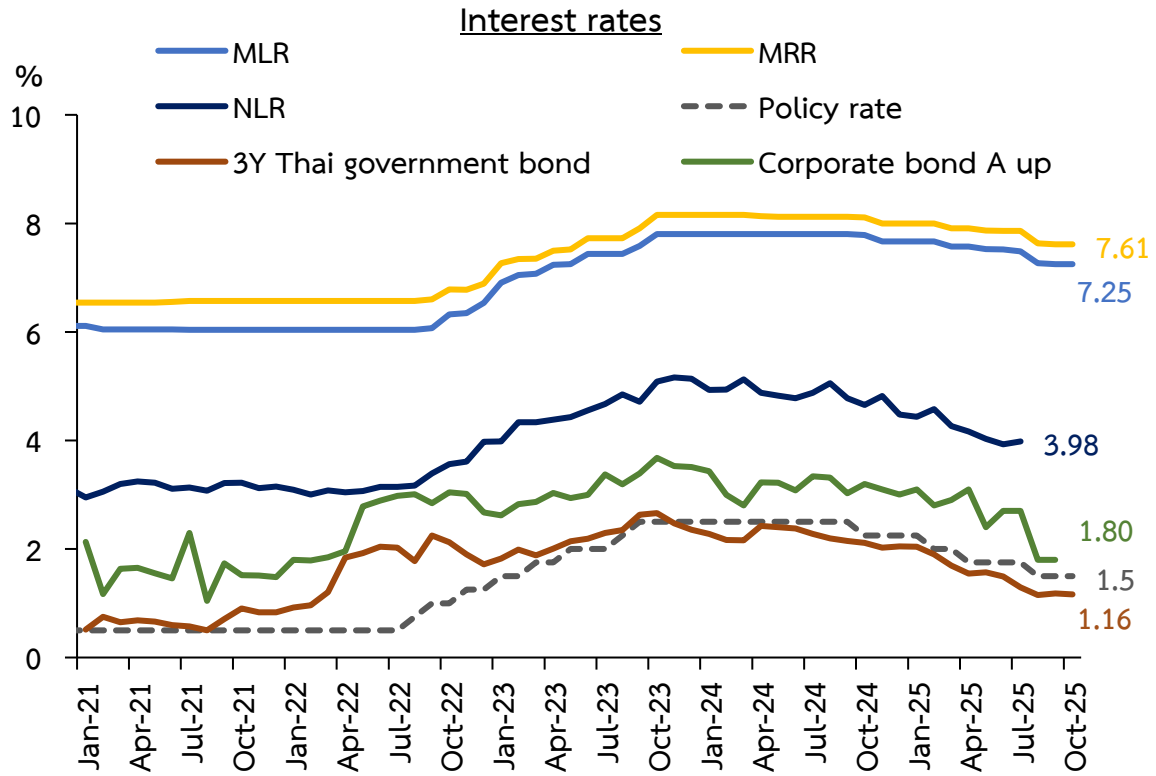


Note: 1) Monthly average of loans from financial institutions system that includes commercial banks (and their subsidiaries), SFIs, and non-banks that are not subsidiaries of commercial banks.
2) Sizes of business are defined through a combination of OSMEP criteria (income and employment) and credit lines from financial institutions. Data exclude credit to public sector.

Source: Bank of Thailand

Monetary policy should remain accommodative to support economic growth. Recent policy rate cuts have helped cushion risks to some extent, and their effects are still in the process of being transmitted to the real economy.

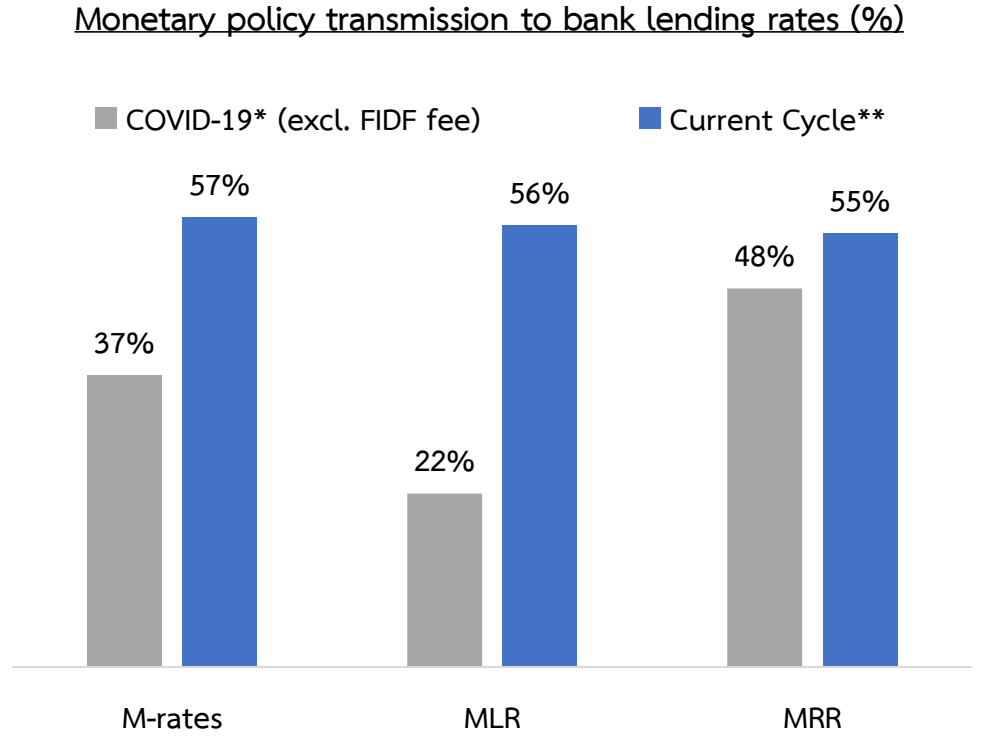
Interest rates in the financial market and on new loans fell, in line with recent policy rate cuts



Note: (1) Monthly average of 14 commercial banks (data as of 7 Oct 2025)
(2) NLR = new loan rate (data as of July 2025)
(3) Corporate bond A up and 3Y Thai government bond (data as of Sep and Oct 2025 respectively)

Source: BOT, ThaiBMA

Under the current easing cycle, the transmission from the policy rate to commercial bank interest rates has been stronger on average compared to previous cycles

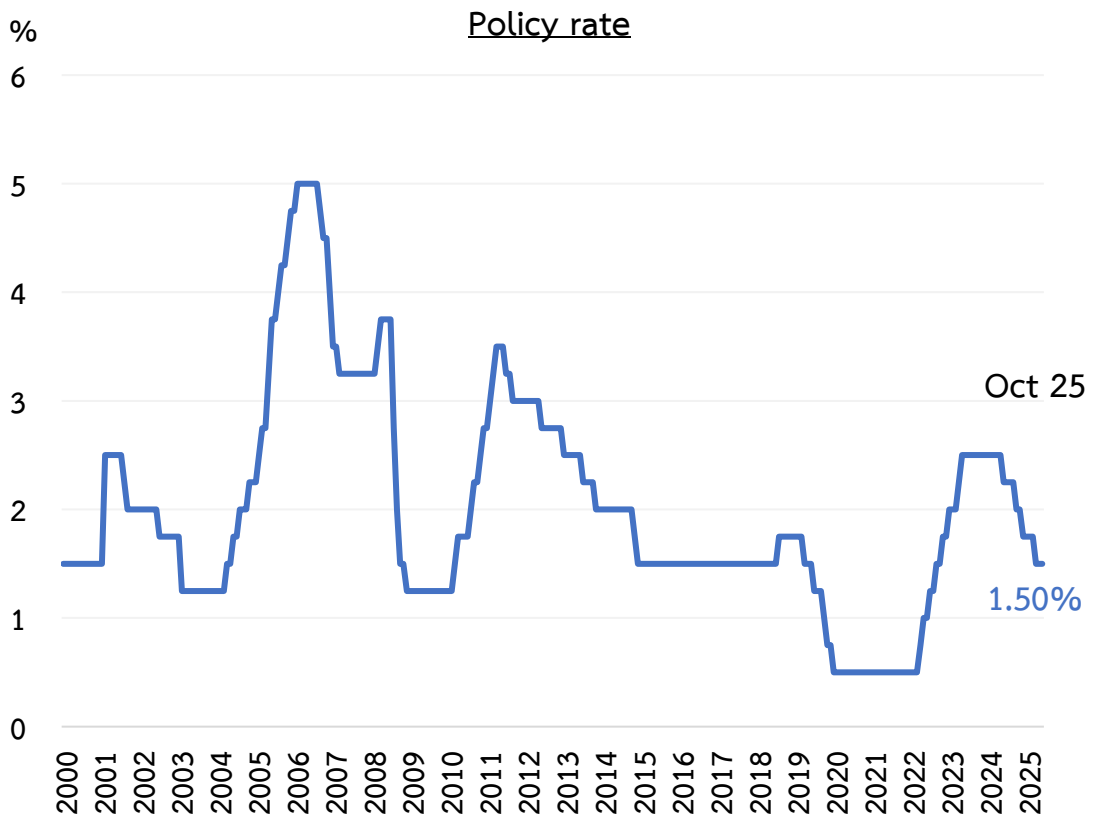


Note: M-rates transmission is calculated as the weighted average passthrough of MLR, MOR, and MRR based on share of loans of Thai commercial banks
*COVID-19 policy transmission excludes the effect of FIDF fee reduction (2020-2021)
**Current policy transmission includes previous four policy rate cuts as of 29 Aug 25

Source: BOT calculation

Policy space remains limited. Future monetary policy decisions should carefully consider timing and effectiveness of monetary policy.

The current policy rate is low. Since inflation targeting was adopted in 2000, the policy rate fell below 1.50% in only 3 periods: the SARs outbreak (2003-2004), the GFC (2009-2010), and the COVID-19 pandemic (2019-2022).



Source: BOT (data as of 8 Oct 2025)

- In the period ahead, monetary policy decisions should weigh the trade-off between supporting the economic recovery and safeguarding stability, while also considering policy effectiveness and the limited policy space, especially amid heightened uncertainties in the current macroeconomic and financial environment.
- Factors to be monitored going forward:
  - The impact of US tariffs
  - Recovery in tourism and domestic demand
  - Continuity of public spending and budget process
  - Price developments, to assess deflation risks
  - Credit growth and exchange rate movements

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The MPC decided to cut the policy rate in August and kept the policy rate on hold in October. The MPC stands ready to adjust the policy rate to ensure it is appropriate to the evolving economic and inflation outlook.

MPC Meeting 4/2025
(13 Aug 2025)

MPC voted unanimously to cut the policy rate by 25 bps to

1.50%

At the MPC meeting in August 2025, the growth outlook remained broadly in line with the previous assessment. However, the impact of US tariffs was expected to exacerbate existing structural and competitiveness challenges, while parts of the economy, especially SMEs, became more vulnerable. Headline inflation was projected to remain low due to supply-side factors. Against this backdrop, the MPC judged that monetary policy could be more accommodative to ensure financial conditions are conducive to business adaptation, and to help alleviate burdens faced by the vulnerable groups. The MPC therefore voted unanimously to cut the policy rate by 25 bps.

MPC Meeting 5/2025
(8 Oct 2025)

MPC voted 5 to 2 to maintain the policy rate at

1.50%

At the MPC meeting in Oct 2025, the MPC assessed that the effects of recent policy rate cuts were in the process of being transmitted to the real economy. Most MPC members emphasized the importance of timing and effectiveness of monetary policy, given the limited policy space, and stood ready to adjust the policy rate as appropriate to the prevailing economic outlook (outlook dependent). Incoming data in the latter half of 2025 would provide a clearer assessment of economic momentum and monetary policy considerations. As such, the MPC voted 5 to 2 to maintain the policy rate at 1.50%. Two members viewed that monetary policy could be further eased to make financial conditions more conducive to the economic recovery and to help alleviate liquidity constraints and debt burdens, particularly among vulnerable SMEs and households.

The MPC will continue to monitor economic and financial developments and risks, and stands ready to adjust the monetary policy stance in response to the evolving economic and inflation outlook.

Percent	2023	2024	2023		2024				2025	
			Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2
GDP growth	2.0	2.5	1.6	1.8	1.7	2.3	3.0	3.3	3.2	2.8
Production										
Agriculture	2.0	-1.1	1.2	-0.7	-2.8	-1.9	-1.0	1.1	6.2	6.0
Non-agriculture	2.0	2.9	1.6	2.1	2.1	2.7	3.2	3.6	2.9	2.5
Manufacturing	-2.7	-0.5	-3.4	-1.8	-2.8	0.4	0.3	0.3	0.9	1.7
Construction	-0.6	1.3	0.6	-8.7	-17.6	-5.6	15.2	18.3	16.2	8.0
Wholesales and retail trade	3.9	3.8	3.6	4.7	4.3	3.1	3.6	4.1	4.8	6.2
Transport and storage	8.8	9.0	7.4	7.2	9.4	8.1	9.2	9.0	5.4	4.0
Accommodation and food service	19.3	9.6	16.1	11.0	11.7	7.7	8.4	10.4	7.2	2.1
Information and communication	3.6	5.6	3.4	3.1	7.0	5.8	3.5	6.0	4.6	5.4
Financial intermediation	1.4	2.0	1.3	3.5	2.7	1.8	1.9	1.5	2.1	2.6
Real estate and renting	1.5	1.1	1.6	0.9	0.8	1.1	0.7	1.7	1.1	1.2

Source: Office of the National Economic and Social Development Board, National Statistical Office and Bank of Thailand

Percent	2023	2024	2023		2024				2025	
			Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2
GDP growth	2.0	2.5	1.6	1.8	1.7	2.3	3.0	3.3	3.2	2.8
Expenditure										
Domestic demand	3.3	3.0	3.6	3.2	2.4	1.4	4.2	4.1	3.2	2.9
Private consumption	6.9	4.4	7.4	6.7	6.6	4.5	3.3	3.4	2.5	2.1
Private investment	3.1	-1.6	3.6	4.8	4.6	-6.8	-2.5	-2.1	-0.9	4.1
Government consumption	-4.7	2.5	-5.0	-3.1	-2.3	0.4	6.1	5.4	3.4	2.2
Public investment	-4.2	4.8	-3.0	-19.6	-28.0	-4.2	25.2	39.4	26.3	10.1
Exports of goods and services	2.4	7.8	1.5	6.1	4.1	5.9	9.9	11.5	12.3	12.2
Exports of goods	-2.6	4.3	-2.4	3.9	-1.5	2.4	7.5	8.9	13.8	14.3
Exports of services	38.2	25.5	29.6	19.9	32.0	24.7	22.3	22.9	7.0	2.7
Imports of goods and services	-2.5	6.3	-9.8	4.5	5.7	1.1	10.3	8.2	2.1	10.8
imports of goods	-4.3	5.3	-11.3	4.2	3.6	-1.3	9.6	9.4	3.9	15.3
imports of services	5.5	10.3	-3.8	7.7	13.7	11.2	13.2	3.9	-4.3	-5.9
Trade balance (billion, U.S. dollars)*	19.2	21.4	6.7	4.9	2.5	5.7	6.7	6.5	8.2	5.3
Current account (billion, U.S. dollars)*	8.5	11.6	3.6	4.0	4.2	-0.2	2.5	5.1	11.2	0.9
Financial account (billion, U.S. dollars)*	-13.2	-7.3	-4.8	-3.8	-5.6	-0.5	2.8	-3.9	-10.2	0.1
International reserves (billion, U.S. dollars)	224.5	237.0	211.8	224.5	223.4	224.3	243.0	237.0	245.3	262.4
Unemployment rate (%)	1.0	1.0	1.0	0.8	1.0	1.1	1.0	0.9	0.9	0.9
Unemployment rate, seasonally-adjusted (%)	n.a.	n.a.	1.0	0.9	1.0	1.0	1.0	1.0	0.9	0.9

Note: *Data may be subject to change in line with periodic revisions or changes to data collection methodologies

Source: Office of the National Economic and Social Development Board, National Statistical Office and Bank of Thailand

Indicators	2023	2024	2023		2024				2025	
			Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2
1. Financial market sector										
Bond market										
Bond spread (10 years - 2 years)	0.4	0.3	0.6	0.4	0.4	0.3	0.3	0.3	0.3	0.2
Equity market										
SET index (end of period)	1,415.9	1,400.2	1,471.4	1,415.9	1,377.9	1,301.0	1,448.8	1,400.2	1,158.1	1089.6
Actual volatility of SET index[1/]	11.8	11.3	10.2	13.2	10.0	10.5	12.7	11.3	17.1	22.6
Price to Earnings ratio (P/E ratio) (times)	18.4	19.3	20.3	18.4	18.1	17.1	18.0	19.3	15.8	14.8
Exchange rate market										
Actual volatility of Thai baht (%annualized)[2/]	9.1	8.2	8.0	9.4	8.6	6.4	7.9	9.8	7.9	9.2
Nominal Effective Exchange Rate (NEER)	119.8	121.1	119.8	119.2	118.8	117.2	121.8	126.2	127.6	127.2
Real Effective Exchange Rate (REER)	104.3	102.8	104.1	102.4	100.9	100.0	103.6	106.7	106.8	105.5
2. Financial institution sector[3/]										
Minimum Lending Rate (MLR)[4/]	7.25	7.11	7.04	7.25	7.25	7.25	7.25	7.11	7.01	6.94
12-month fixed deposit rate[4/]	1.65	1.49	1.49	1.65	1.65	1.65	1.65	1.49	1.51	1.24
Capital adequacy										
Capital funds / Risk-weighted asset (%)	20.1	20.4	19.9	20.1	20.1	19.9	20.5	20.4	20.7	21.0
Earning and profitability										
Net profit (billion, Thai baht)	251.0	282.0	65.0	53.0	68.0	76.0	71.0	67.0	70.0	77.0
Return on assets (ROA) (times)	1.1	1.2	1.1	0.9	1.1	1.3	1.2	1.1	1.2	1.3
Liquidity										
Loan to Deposit and B/E (%)	91.0	88.3	92.4	91.0	90.1	89.7	89.2	88.3	87.5	87.9

Note: [1/] Calculated by 'annualized standard deviation of return' method

[2/] Daily volatility (using exponentially weighted moving average method)

[3/] Based on data of all commercial banks

[4/] Average value of 6 largest Thai commercial banks (since July 2021)

Indicators	2023	2024	2023	2024				2025		
			Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2
3. Household sector										
Household debt to GDP (%)	91.3	88.4	90.8	91.3	90.7	89.7	88.9	88.4	87.1	86.8
Financial assets to debt (times)	2.6	2.7	2.6	2.6	2.7	2.7	2.7	2.7	2.7	2.7
Non-Performing Loans (NPLs) of financial institutions (%)										
Consumer loans	3.3	3.8	3.4	3.3	3.6	3.9	4.0	3.8	4.0	4.0
Housing loans	3.5	4.3	3.6	3.5	4.1	4.5	4.5	4.2	4.7	4.7
Auto leasing	2.2	2.2	2.1	2.2	2.2	2.3	2.5	2.3	2.3	2.2
Credit cards	3.0	3.3	3.0	3.0	3.3	3.7	3.6	3.1	3.3	3.2
Other personal loans	3.5	3.7	3.7	3.5	3.5	3.7	3.7	3.8	3.7	3.6
4. Non-financial corporate sector[5/]										
Operating profit margin (OPM) (%)	7.2	7.3	7.8	6.8	7.9	7.8	6.9	6.8	7.7	6.4
Debt to Equity ratio (D/E ratio) (times)	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7
Interest coverage ratio (ICR) (times)	4.8	4.5	5.3	3.9	5.3	4.7	4.0	4.1	5.5	4.3
Current ratio (times)	1.8	1.7	1.8	1.7	1.7	1.7	1.8	1.7	1.7	1.7
Non-Performing Loans (NPLs) of commercial banks (%)	2.6	2.5	2.7	2.6	2.7	2.6	2.7	2.5	2.6	2.6

Note: [5/] Only listed companies on Stock Exchange of Thailand (median value); with data revisions

Indicators	2023	2024	2023	2024				2025		
			Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2
5. Real estate sector										
Number of approved mortgages from commercial banks (Bangkok and Vicinity) (units)										
Total	52,862	47,129	14,403	11,948	10,856	12,192	12,406	11,675	8,361	9,549
Single-detached and semi-detached houses	16,163	14,161	4,178	3,884	3,332	3,733	3,607	3,489	2,597	3,301
Townhouses and commercial buildings	16,065	12,687	4,298	3,404	3,158	3,339	3,209	2,981	2,391	2,826
Condominiums	20,649	20,288	5,927	4,660	4,366	5,120	5,590	5,205	3,373	3,422
Number of new housing units launched for sale (Bangkok and Vicinity) (units)										
Total	101,536	61,453	22,500	30,810	16,565	17,006	9,118	18,764	9,886	4,874
Single-detached and semi-detached houses	30,929	20,940	8,922	11,287	6,617	5,313	3,427	5,583	2,151	2,622
Townhouses and commercial buildings	21,577	12,582	6,259	4,617	4,071	3,800	3,157	1,554	1,562	1,032
Condominiums	49,030	27,931	7,319	14,906	5,877	7,893	2,534	11,627	6,173	1,220
Housing price index (2011 = 100)										
Single-detached houses (including land)	141.7	142.5	140.6	142.6	141.3	141.0	143.4	144.4	144.3	143.0
Townhouses (including land)	167.8	170.8	167.8	168.5	166.9	168.0	173.4	174.8	176.0	176.3
Condominiums	191.3	197.9	189.3	196.4	196.1	193.9	200.1	201.3	200.5	197.3
All residential	165.2	167.9	164.2	167.2	165.9	165.3	169.6	170.9	171.3	169.7
6. Fiscal sector										
Public debt to GDP (%)	61.7	63.8	62.3	61.7	63.6	63.3	63.2	63.8	64.5	64.3
7. External sector										
Current account balance to GDP (%)	1.7	2.2	2.9	3.1	3.2	-0.1	1.8	3.6	8.0	0.7
External debt to GDP (%)[6/]	39.0	35.8	37.8	39.0	37.7	37.8	38.5	35.8	35.8	35.5
External debt (billion, U.S. dollars)	196.5	191.7	191.9	196.5	190.9	187.7	203.9	195.4	197.3	201.2
Short-term (%)	41.3	44.3	42.1	41.3	42.5	43.7	44.2	44.3	43.3	42.1
Long-term (%)	58.7	55.7	57.9	58.7	57.5	56.3	55.8	55.7	56.7	57.9
International reserves / Short-term external debt (times)[7/]	2.4	2.4	2.2	2.4	2.4	2.4	2.4	2.4	2.5	2.7

Note: [6/] Calculation follows the World Bank's methodology, external debt / summation of latest 4 quarters nominal GDP

[7/] Short-term external debt used in calculation is short-term external debt less than 1 year remaining maturity

Probability distribution of GDP growth forecast

%	2025		2026				2027		
	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3
> 16	0	0	0	0	1	2	3	3	3
14.0-16.0	0	0	0	0	0	1	1	0	0
12.0-14.0	0	0	0	0	0	1	1	1	1
10.0-12.0	0	0	0	1	1	1	1	1	0
8.0-10.0	0	0	1	2	1	1	1	1	2
6.0-8.0	1	1	2	3	4	4	6	5	5
4.0-6.0	4	6	7	8	13	13	15	18	18
2.0-4.0	31	30	26	25	31	32	28	27	28
0.0-2.0	49	40	34	27	21	18	19	18	17
(-2.0)-0.0	13	16	18	19	14	14	13	13	14
(-4.0)-(-2.0)	2	4	6	9	7	7	7	7	6
(-6.0)-(-4.0)	0	1	2	3	2	3	2	3	3
(-8.0)-(-6.0)	0	1	1	1	1	1	2	1	1
< -8	0	0	2	3	3	3	3	3	3

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Probability distribution of headline inflation forecast

%	2025	2026				2027			
	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3
> 10	0	0	0	0	0	0	0	0	0
9.0-10.0	0	0	0	0	0	0	0	0	0
8.0-9.0	0	0	0	0	0	0	0	0	0
7.0-8.0	0	0	0	0	0	0	0	0	0
6.0-7.0	0	0	0	0	0	0	0	0	0
5.0-6.0	0	0	0	0	0	0	0	0	0
4.0-5.0	0	0	0	0	0	1	2	2	2
3.0-4.0	0	0	0	0	3	5	6	7	6
2.0-3.0	0	0	0	5	13	12	14	16	15
1.0-2.0	0	0	3	23	26	21	23	23	23
0.0-1.0	0	25	35	39	28	24	24	23	23
(-1.0)-0.0	100	74	51	25	19	19	17	16	17
·2.0)-(-1.0)	0	1	11	7	8	11	9	9	9
< -2	0	0	0	1	2	6	5	4	5

Probability distribution of core inflation forecast

%	2025	2026				2027			
	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3
> 5.5	0	0	0	0	0	0	0	0	0
5.0-5.5	0	0	0	0	0	0	0	0	0
4.5-5.0	0	0	0	0	0	0	0	0	0
4.0-4.5	0	0	0	0	0	0	0	0	0
3.5-4.0	0	0	0	0	0	0	0	0	0
3.0-3.5	0	0	0	0	0	0	0	0	0
2.5-3.0	0	0	0	0	0	1	1	1	1
2.0-2.5	0	0	0	0	3	5	4	5	5
1.5-2.0	0	0	0	4	13	13	12	13	14
1.0-1.5	0	1	18	24	26	22	21	22	22
0.5-1.0	100	90	58	38	27	24	24	23	22
0.0-0.5	0	9	23	24	18	18	19	18	17
(-0.5)-0.0	0	0	2	7	8	11	11	11	10
< -0.5	0	0	0	1	3	7	7	7	7

Pursuing Sustainable Economic Well-Being

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